Credit | InFinance 2026.1

Project Talos

Strategic Divestment of CSN's Assets: Opportunity for ArcelorMittal

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Pedro Fiúza I Rafael Antão I Victor Castro

Presentation Agenda

I Steel Industry In Brazil

II CSN

III ArcelorMittal & Transaction Rationale

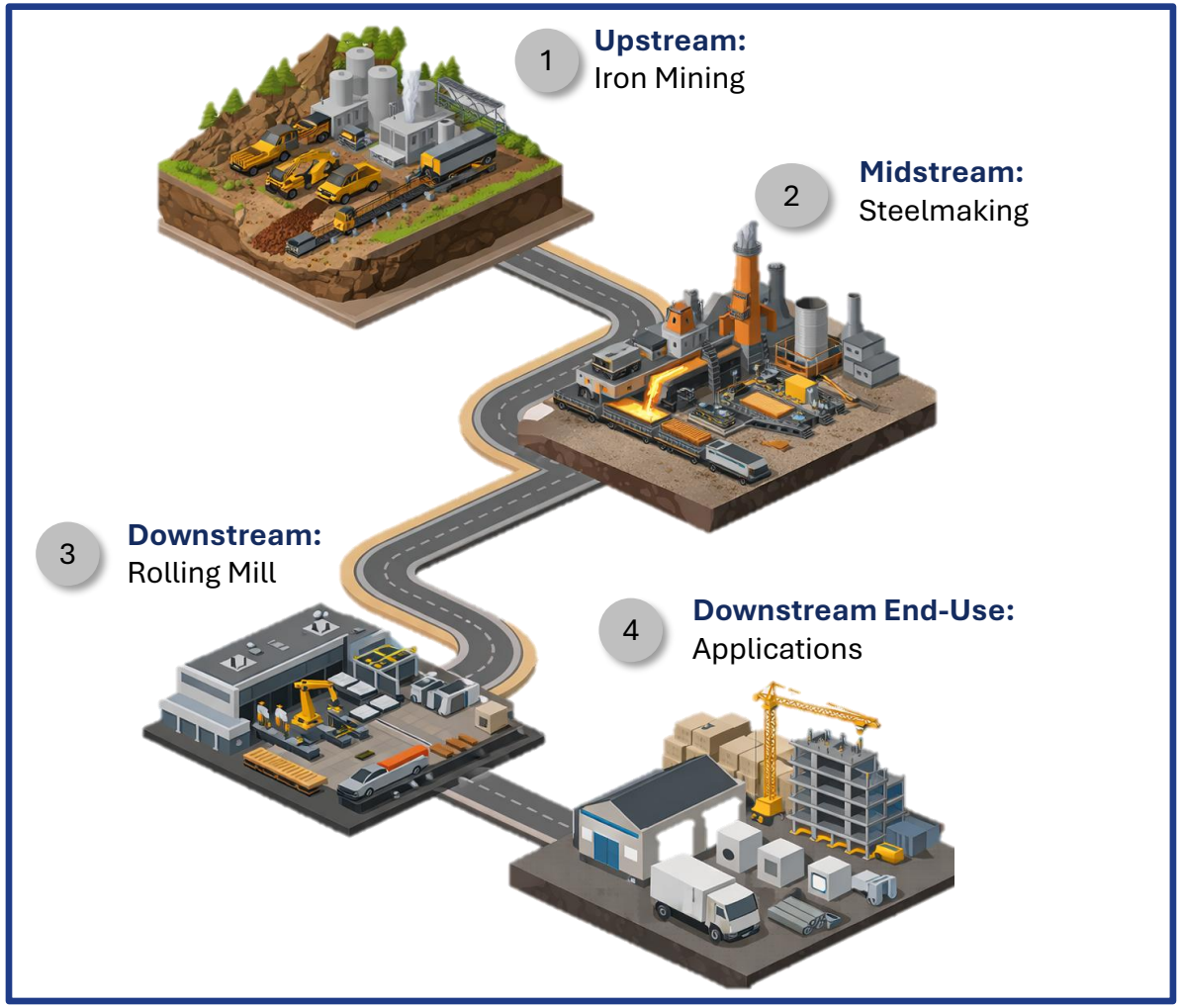
IV Debt

Deconstructing the Steel Industry

From iron ore extraction to downstream applications, highlighting the sectoral drivers of global steel consumption

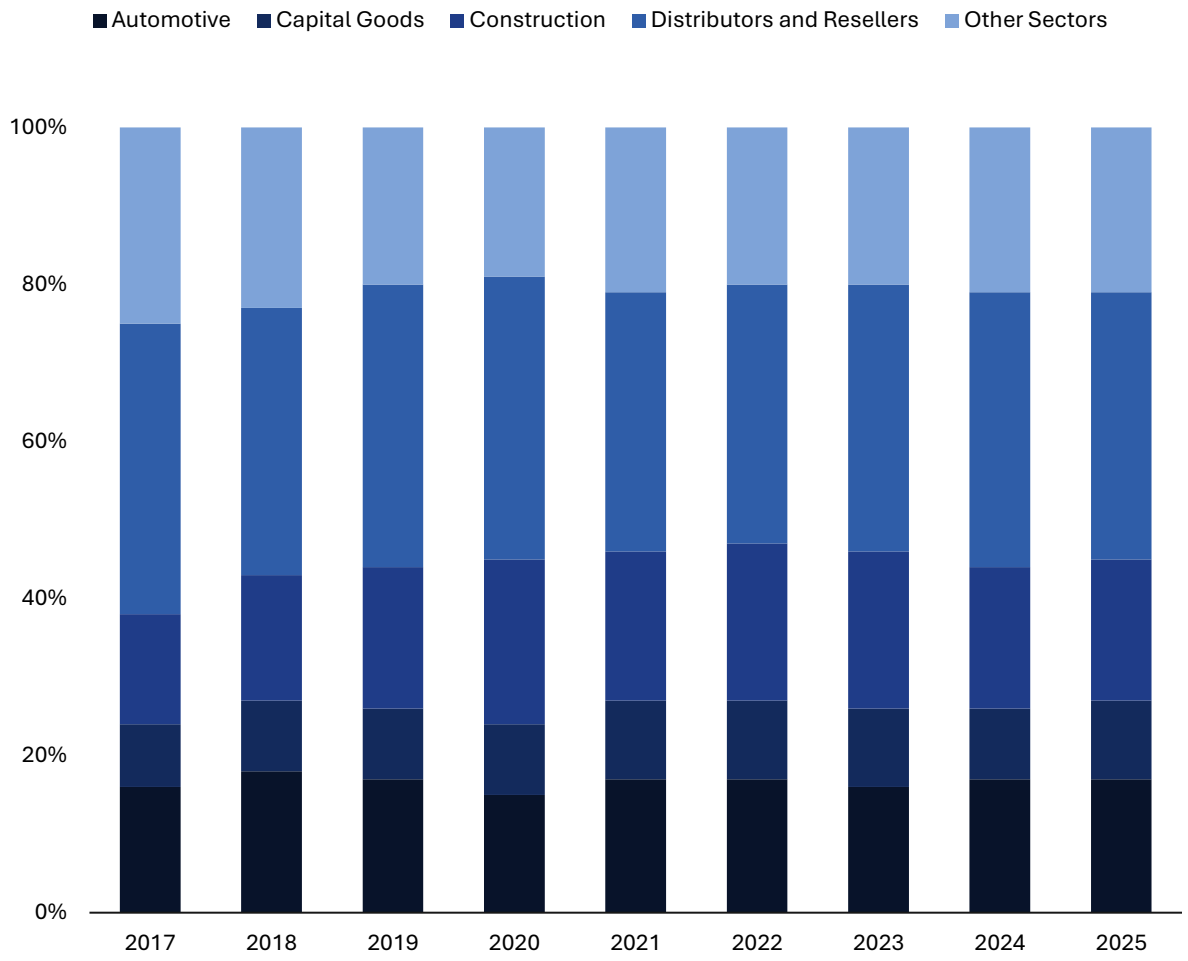
Steel Industry Value Chain

From raw materials to high-value end-use applications across the steel value chain



Steel Consumption [%]

Construction and capital goods consistently represent the largest share of global steel demand



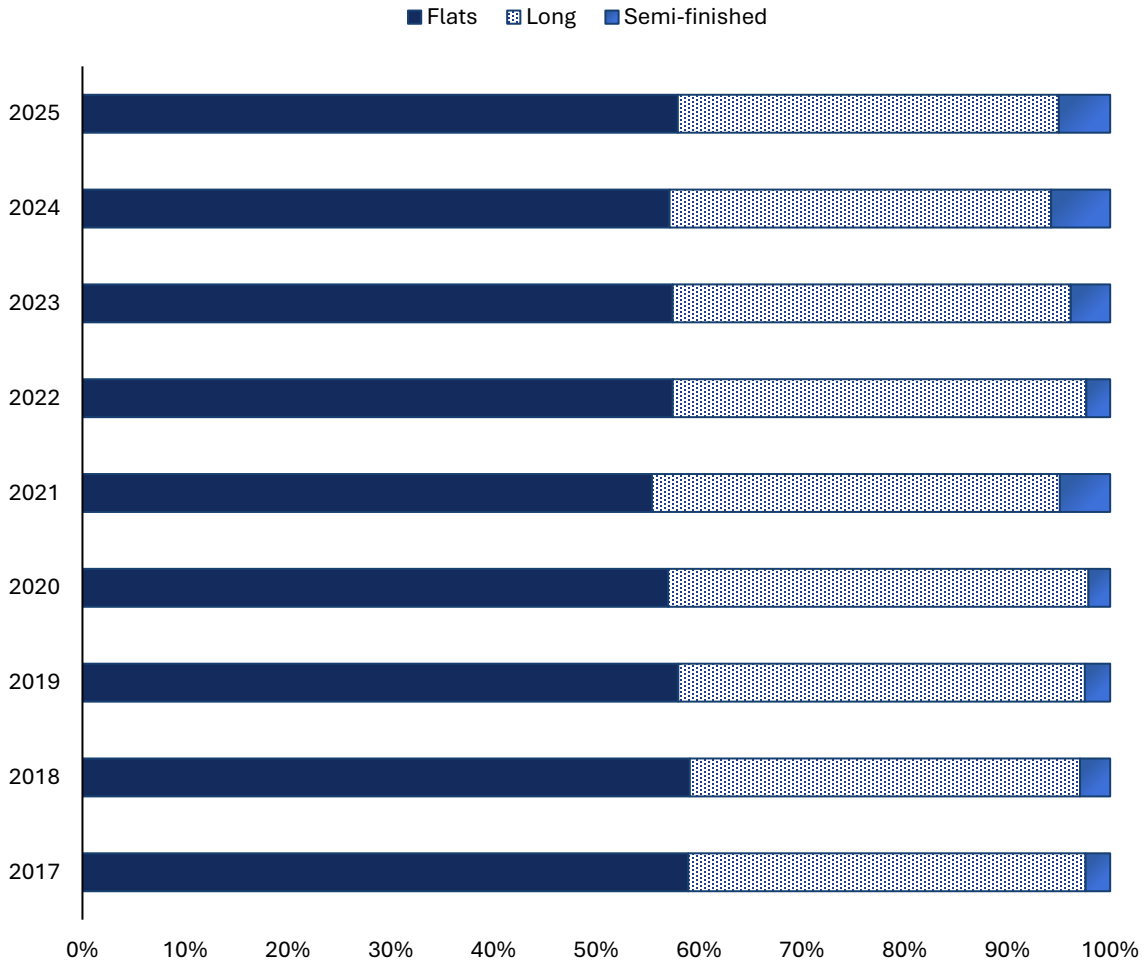
Notes:
Sources: Brazilian Steel Institute

Brazilian Steel Industry Structure

Rising import penetration is reshaping the competitive dynamics of Brazil's steel industry

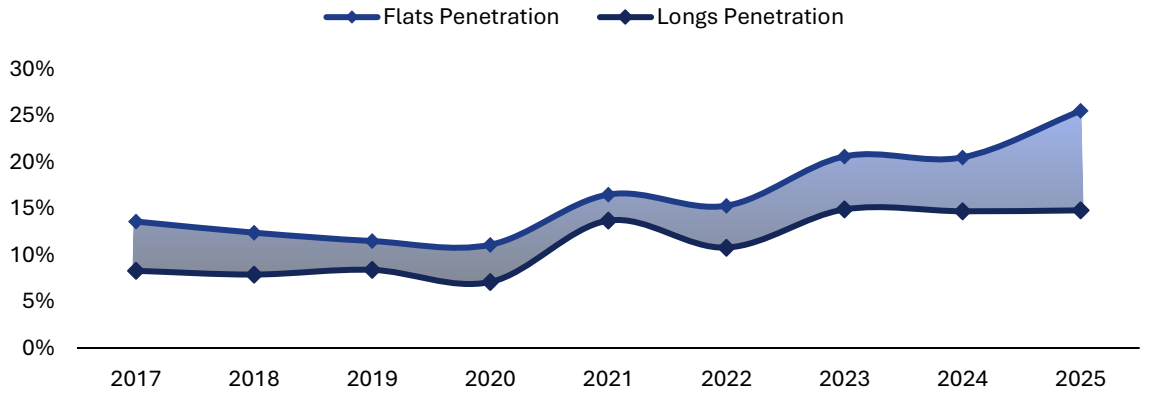
Steel Production Mix [%]

Distribution of flats, longs and semi-finished steel production in Brazil



Chinese Steel Penetration in the Brazilian Market [%]

Rising Chinese steel imports are intensifying competitive pressure in Brazil



Competitive Landscape of Brazilian Steel Producers

Macroeconomic slowdown and rising Chinese imports are weighing on Brazilian steel revenues

	Primary Focus on Steelmaking	Steel Plants [#]	Δ Steel Revenue [2025-2024] [BRL mn]
Ternium[1]	Flats	1	(10,796)
CSN	Flats	5	(1,153)
Gerdau[2]	Long	13	(530)
ArcelorMittal[3]	Flats + Long	10	(6,515)

Notes: (1) Ternium Brazil; (2) Gerdau Brazil; (3) ArcelorMittal Brazil
Sources: Bradesco BBI, UBS

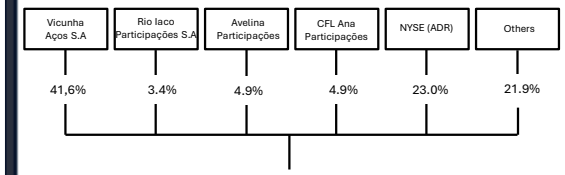
CSN, At-a-Glance

A diversified industrial group combining scale and vertical integration across Brazil's steel value chain

CSN

Companhia Siderúrgica Nacional, founded in 1941, is one of Brazil's leading industrial groups. It operates across steelmaking, iron ore mining, cement, logistics, and energy, combining vertical integration with significant scale. The company serves construction, automotive, and industrial markets, while exporting iron ore globally, positioning itself as a key player in Brazil's steel and mining value chain

Shareholders

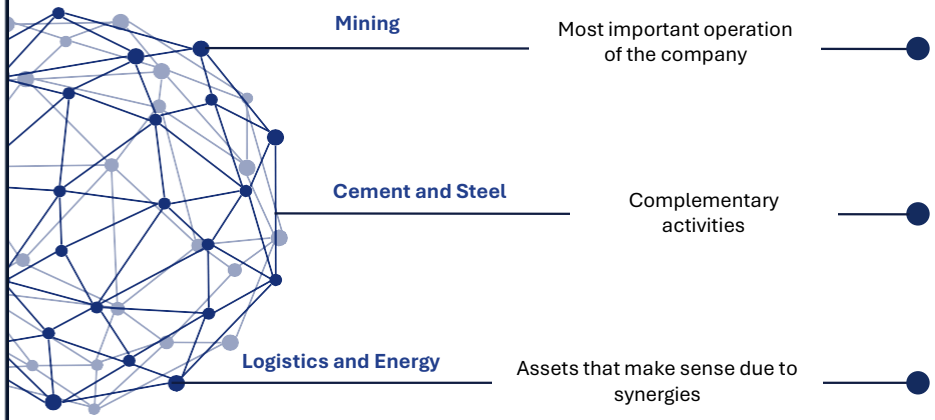


Key Financials

BRL mn	2025
Market Cap	8,527
EBITDA	11,796
EBITDA Margin	25.1%
Adj. Net Debt/EBITDA	5.1x
Steel Ton/Year	4.6

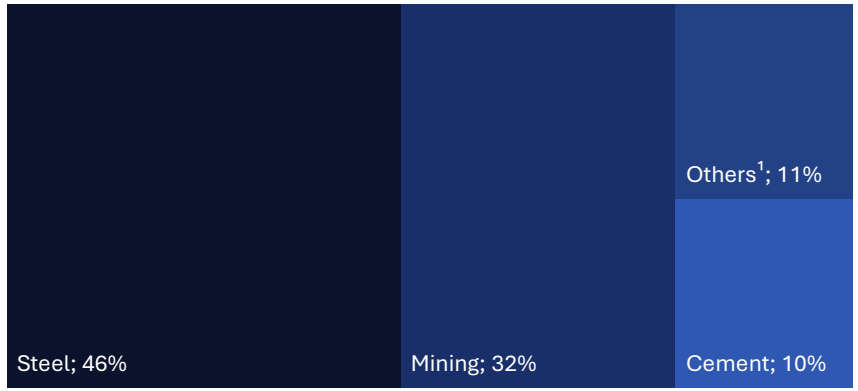
Holding Structure

Integrated platform spanning mining, steel, cement, logistics and energy



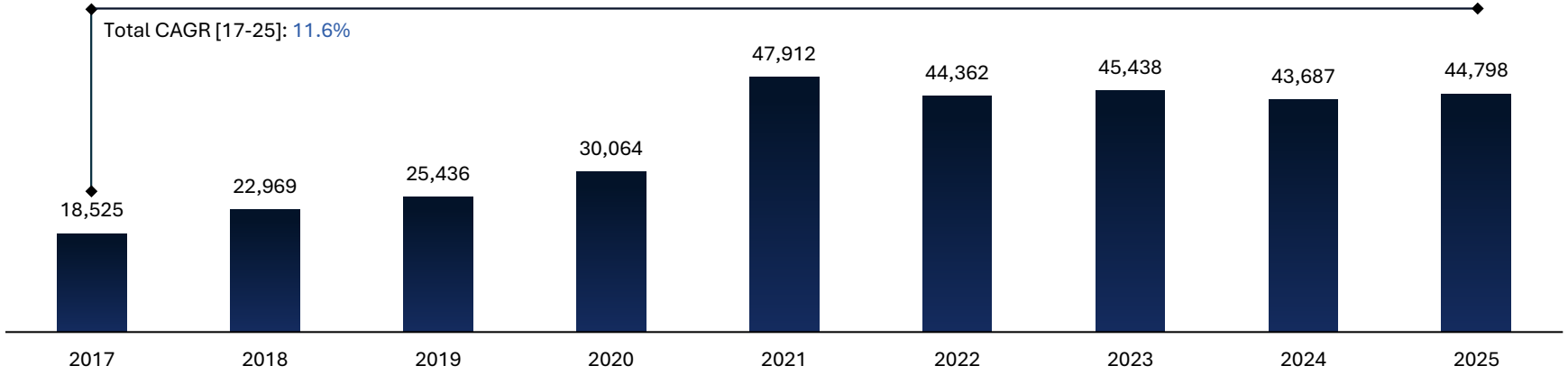
Revenue Breakdown [%]

Despite diversification, EBITDA is structurally concentrated in mining



Net Revenue Evolution [BRL mn]

Revenue expansion during the commodity boom, with stabilization in the post-cycle environment



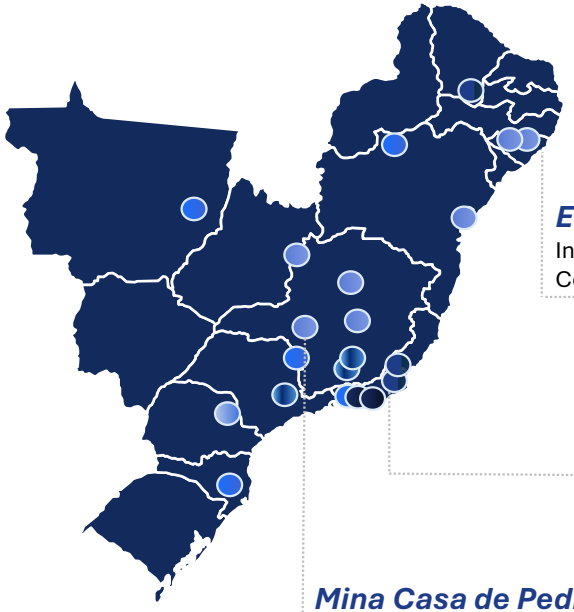
Notes: (1) Including logistics and energy assets
Sources: CSN

CSN’s Industrial Footprint

Mining anchors profitability while steel and cement dilute margins across the operating footprint

CSN’s Core Industrial Assets

Strategic assets across mining, steel and cement define the company’s operational structure



Elizabeth Cimentos
Installed capacity: 1.4 Mt/Year
Cement EBITDA Margin: 26.3%

Usina Presidente Vargas
Installed capacity: 5.5 Mt/Year
Steel EBITDA Margin: 10.0%

Mina Casa de Pedra
Installed capacity: 42.0 Mt/Year
Mining EBITDA Margin: 41.0%

Mining Business

Iron Ore Production and Exports

High-grade ore from Casa de Pedra; Integrated logistics to ports; Primary source of cash generation

Steel Business

Integrated Steel Production

Flat steel production at Presidente Vargas; Supplies automotive, construction and industry; Largest revenue contributor

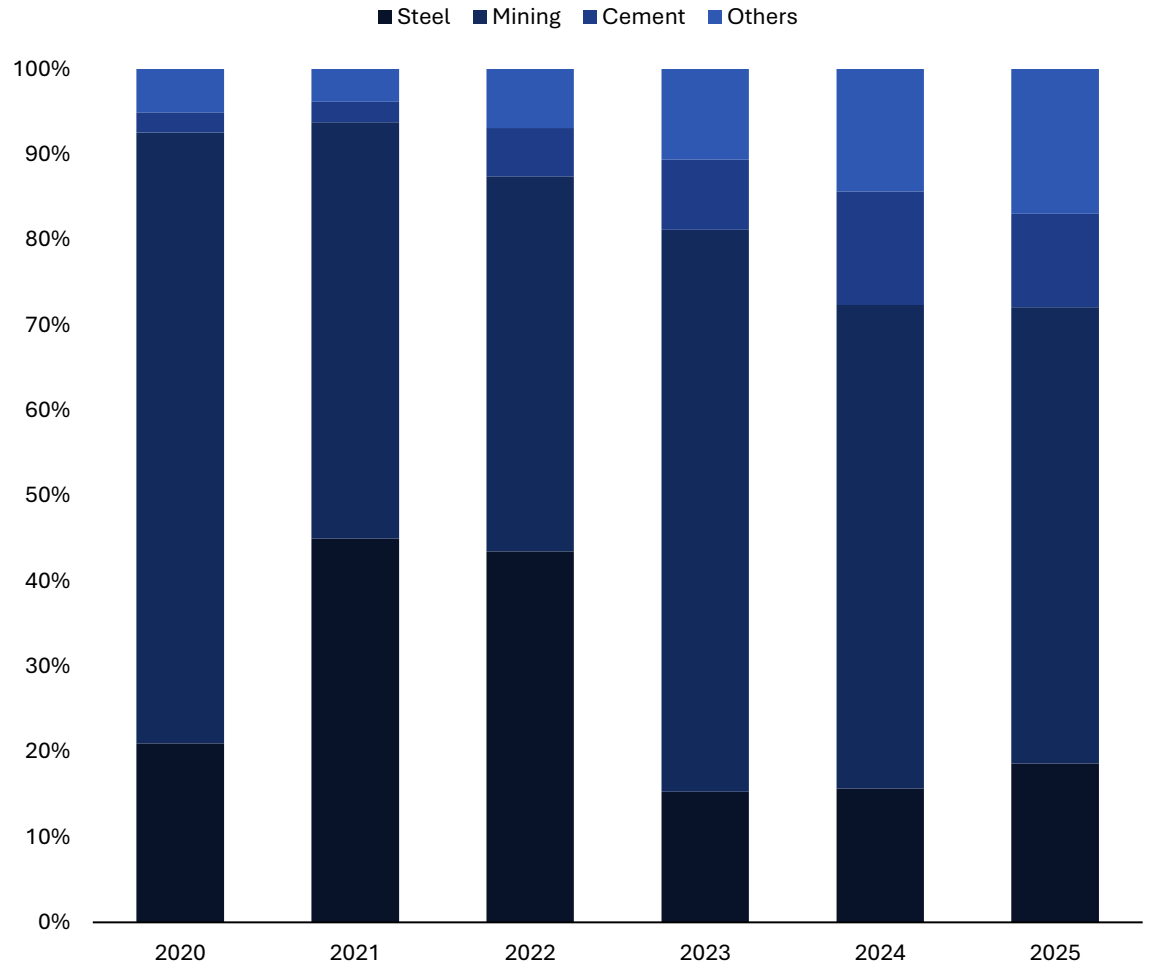
Cement Business

Industrial Diversification

Production through Elizabeth Cimentos; Uses slag from steelmaking; Captures additional value from by-products

EBITDA Breakdown [%]

Steel dominates revenue despite mining being the most profitable business



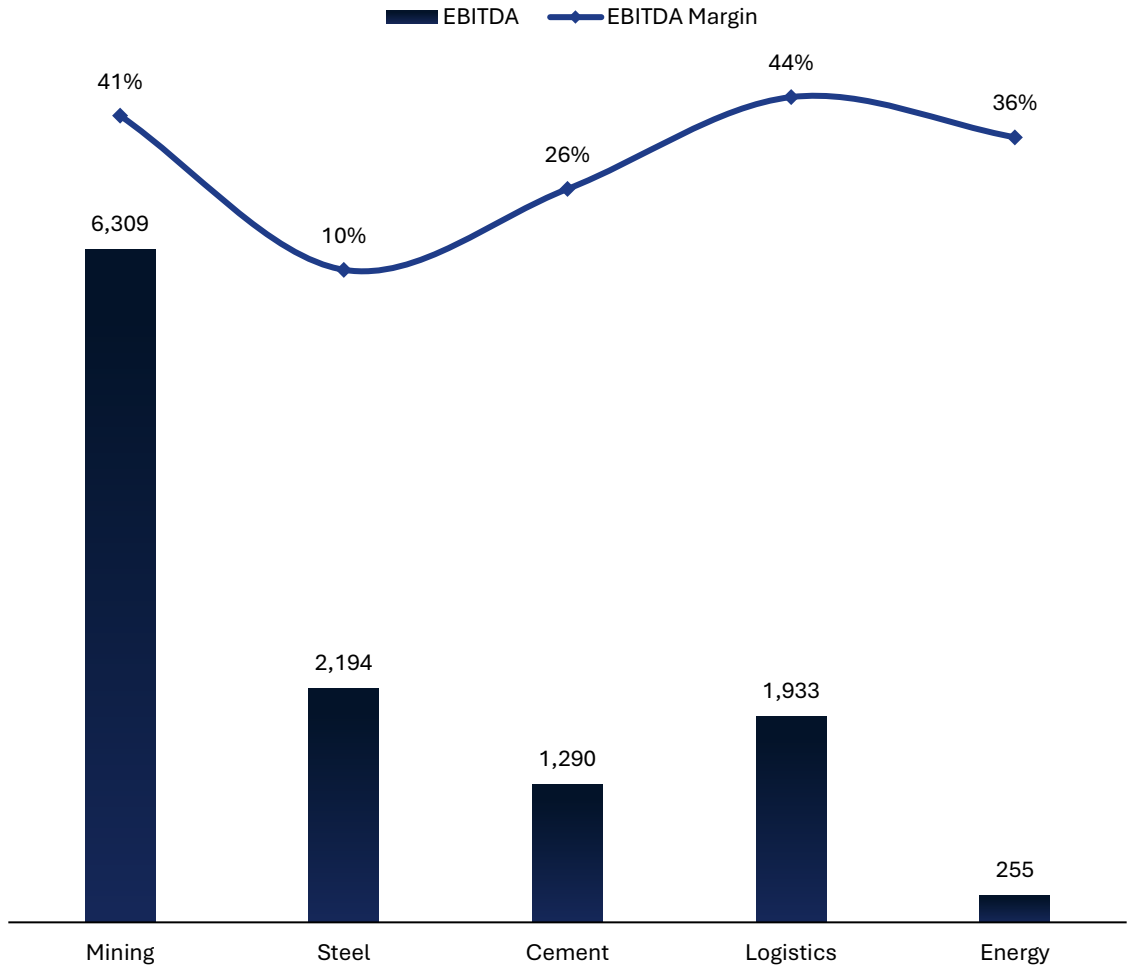
Notes:
Sources: CSN

Mining as the Cash Engine

Steel liquidity needs force the monetization of mining, weakening the company's most profitable and strategic segment

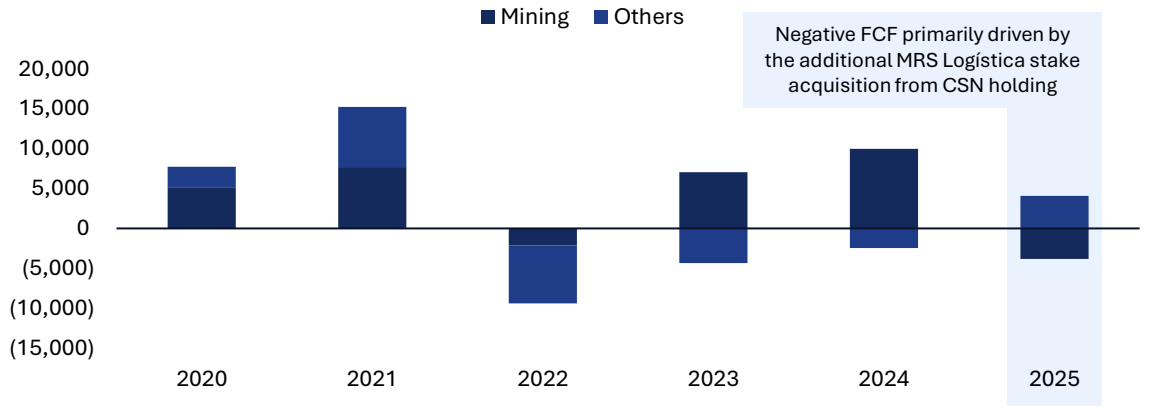
EBITDA[1] and EBITDA Margin by Segment [BRL mn, %] [2025]

Mining dominates profitability across CSN's portfolio



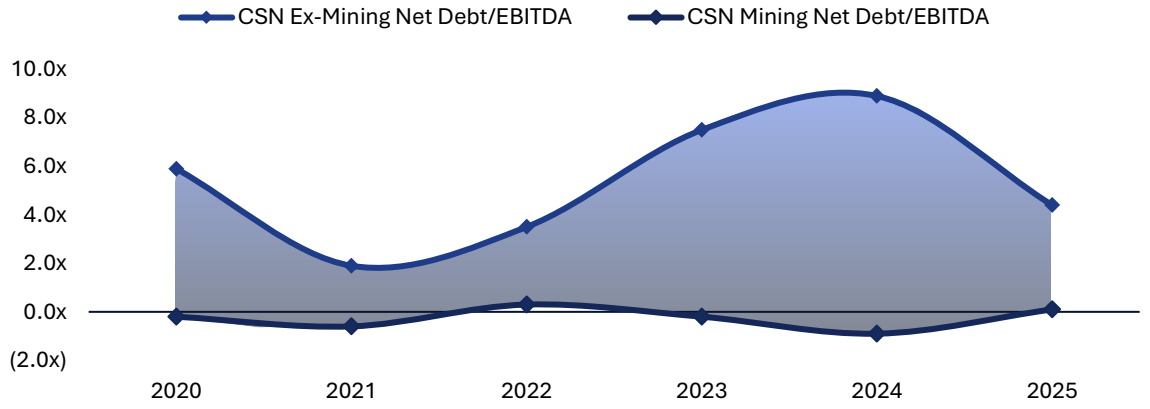
FCF Breakdown [BRL bn]

Cash generation is predominantly driven by the mining segment



CSN Mining and Ex-Mining Net Debt/EBITDA [x]

Separating the mining subsidiary reveals the leverage of the core steel operations



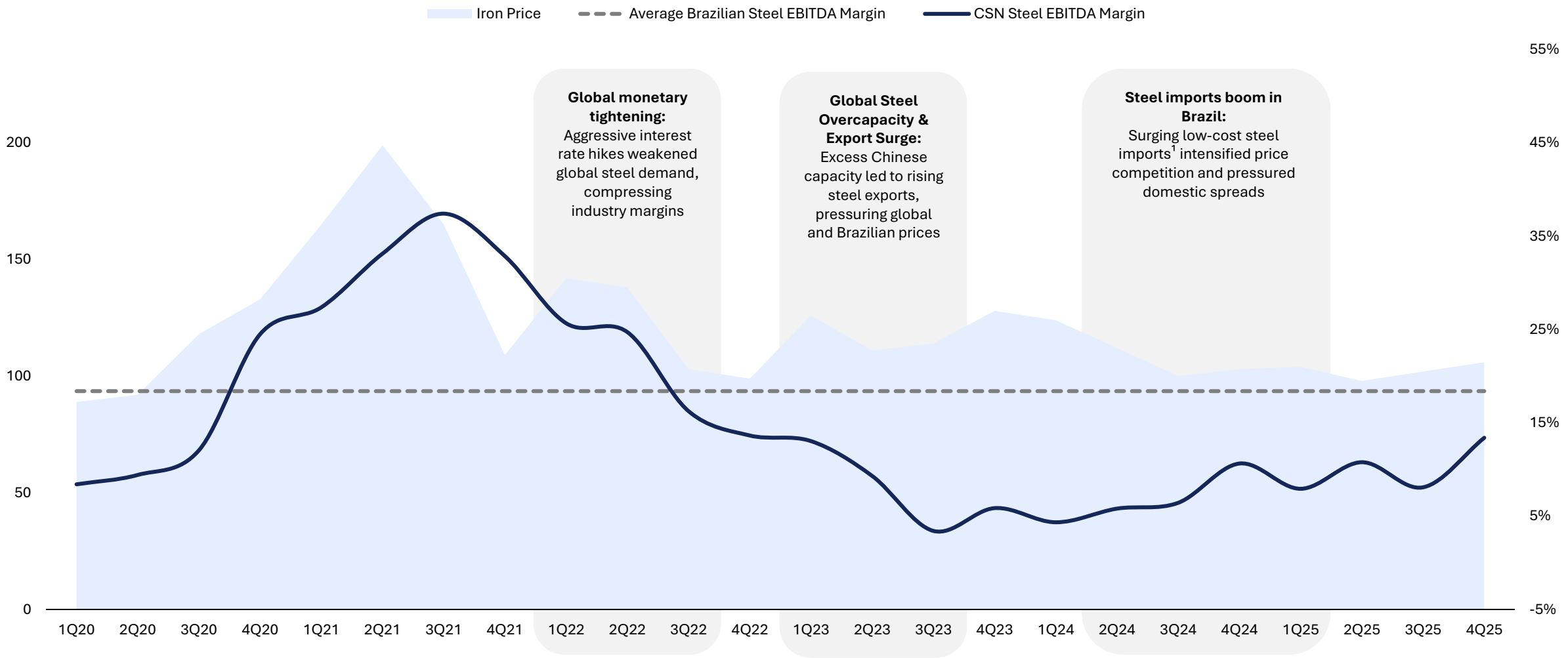
Notes:
Sources: CSN

Iron Ore Price Cycle and Macro Headwinds Pressured CSN Steel Segment

Iron ore price normalization, global monetary tightening and rising Chinese exports compressed steel margins and pressured CSN's profitability

Iron Ore Cycle and Steel Margin Performance [USD/t, %]

CSN's steel margins declined significantly as the iron ore cycle normalized, falling below the historical profitability levels of the Brazilian steel sector



Notes: (1) Especially Chinese imports

Sources: Bloomberg, CSN

Deal Rationale

I

CSN’s Deleveraging Imperative Creates a Window for Strategic Asset Divestments

Amid a stressed macro environment and a highly leveraged balance sheet, CSN faces pressure to generate liquidity and reduce leverage. Divesting steel assets could unlock value and strengthen its financial position

II

ArcelorMittal is Uniquely Positioned to Capitalize on this Divestment Opportunity

With a strong balance sheet and access to low-cost international funding, ArcelorMittal is well positioned to acquire these assets while expanding its downstream presence in Brazil

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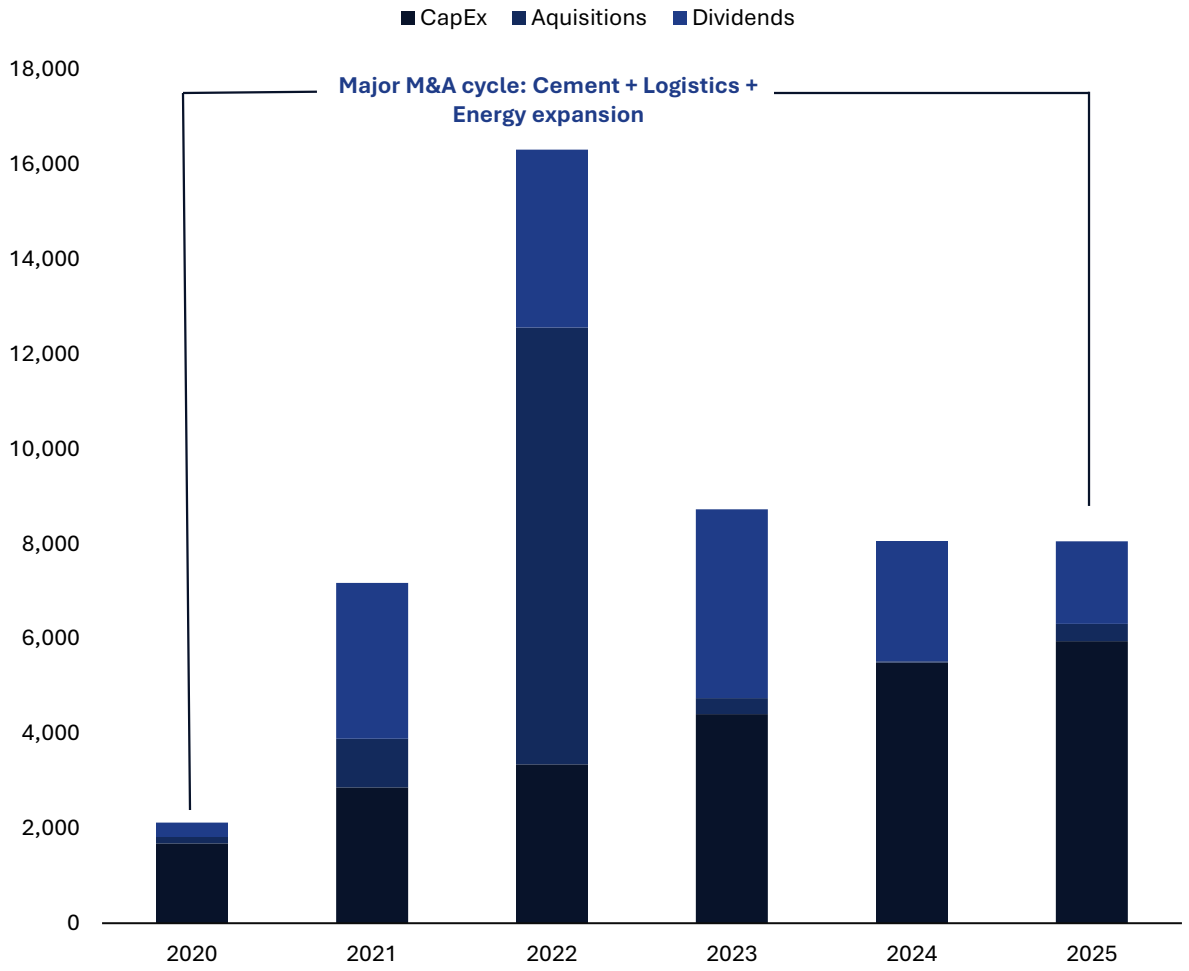
With a strong balance sheet and access to low-cost international funding, ArcelorMittal is well positioned to acquire these assets while expanding its downstream presence in Brazil

Aggressive Capital Allocation Drove Higher Leverage

An aggressive expansion strategy and shareholder payouts increased leverage beyond reported levels, with adjustments revealing higher effective debt

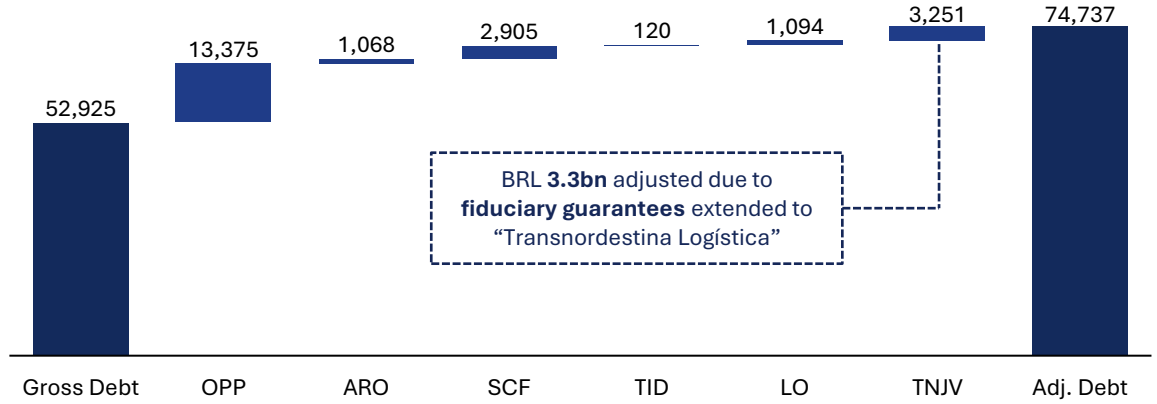
Capital Allocation Breakdown [BRL mn]

Large acquisitions and investments significantly increased cash outflows



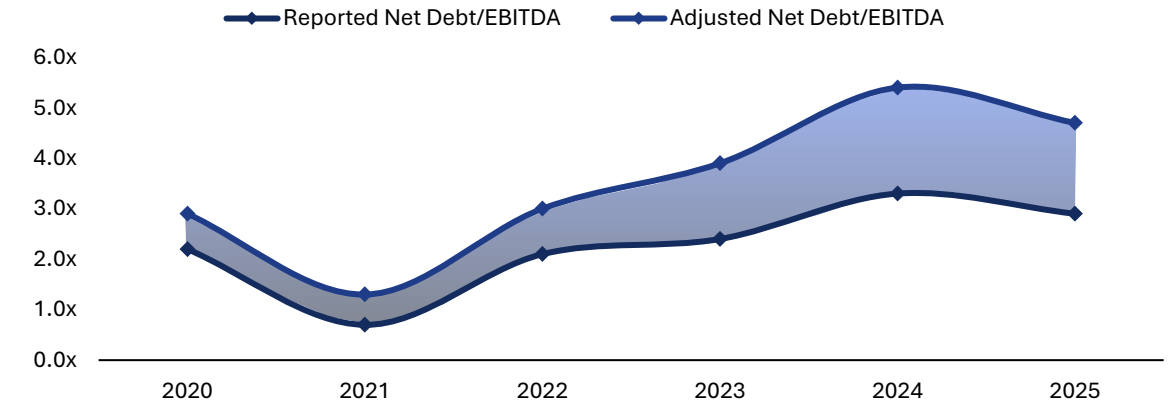
Debt Adjustments Beyond the Balance Sheet [BRL mn] [2025]

Operational obligations effectively behave as additional financing



Net Debt/EBITDA [x]

Accounting adjustments reveal a structurally higher leverage profile



Notes: (1) OPP – Ore Prepayments; (2) ARO – Asset Retirement Obligations; (3) SCF – Supply Chain Finance; (4) TID – Tax Installment Debt; (5) LO – Lease Obligations; (6) TNJV Debt – Transnordestina JV Debt

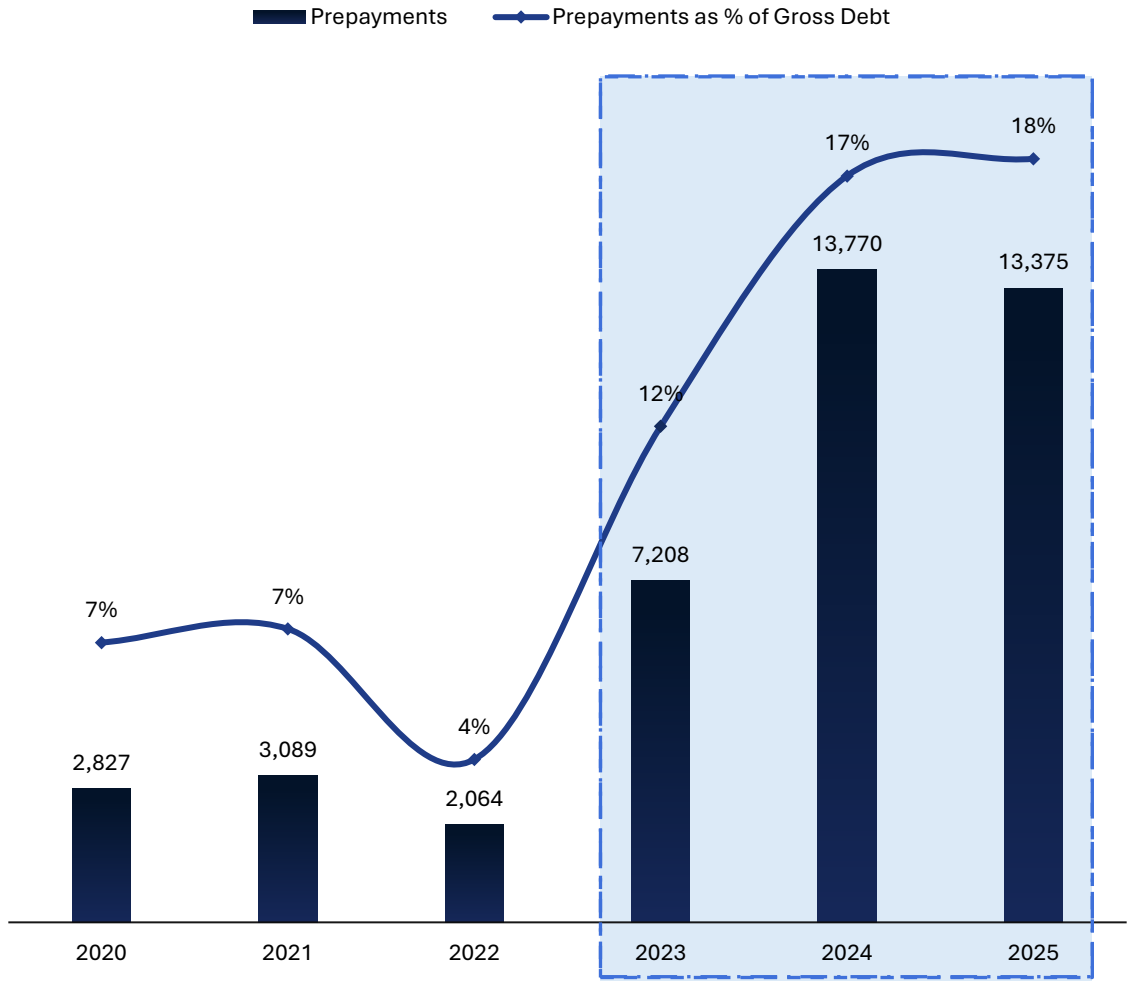
Sources: CSN

Prepayments: A Vicious Financing Cycle

Ore prepayments generate short-term liquidity to service interest, but also add new debt, reinforcing a self-perpetuating leverage cycle

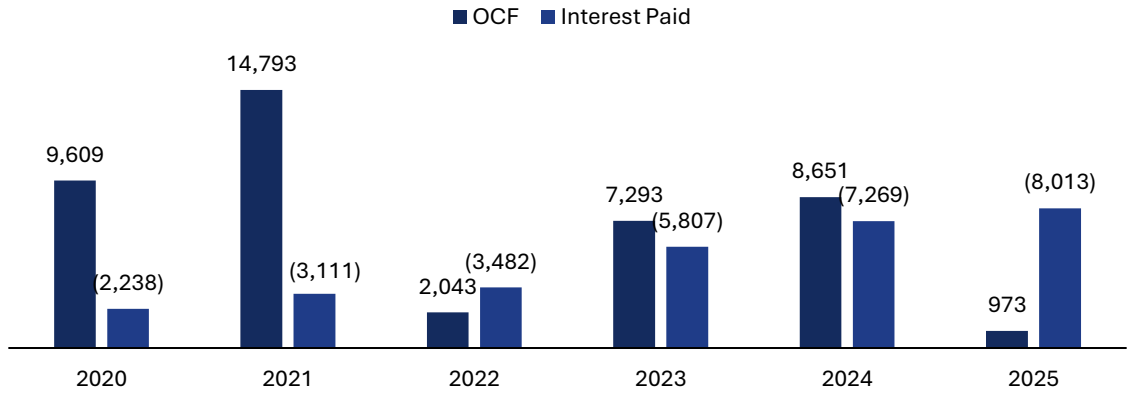
CSN Iron Ore Prepayments [BRL mn, %]

Prepayments rose sharply and now represent a growing share of gross debt



Operating Cash Flow and Interest Paid [BRL mn]

Financial costs absorb a large portion of operating cash flow



Revenue Received and Foregone Revenue from Iron Ore Prepayments

Advancing iron ore sales sacrifices future revenue to generate short-term liquidity

Year	Contract [USD mn]	Iron Ore Quantity [Mt]	Implied Price [US$/t]	Estimated Realized Price[1] [US$/t]	Revenue Foregone [BRL mn]
06/24	255	6.5	39	87	1,708
09/24	450	9.7	46	74	1,473
09/24	300	7.2	42	74	1,280
12/24	355	8.1	44	80	1,711
06/25	241	5.9	41	78	1,216
08/25	300	7,2	42	84	1,642

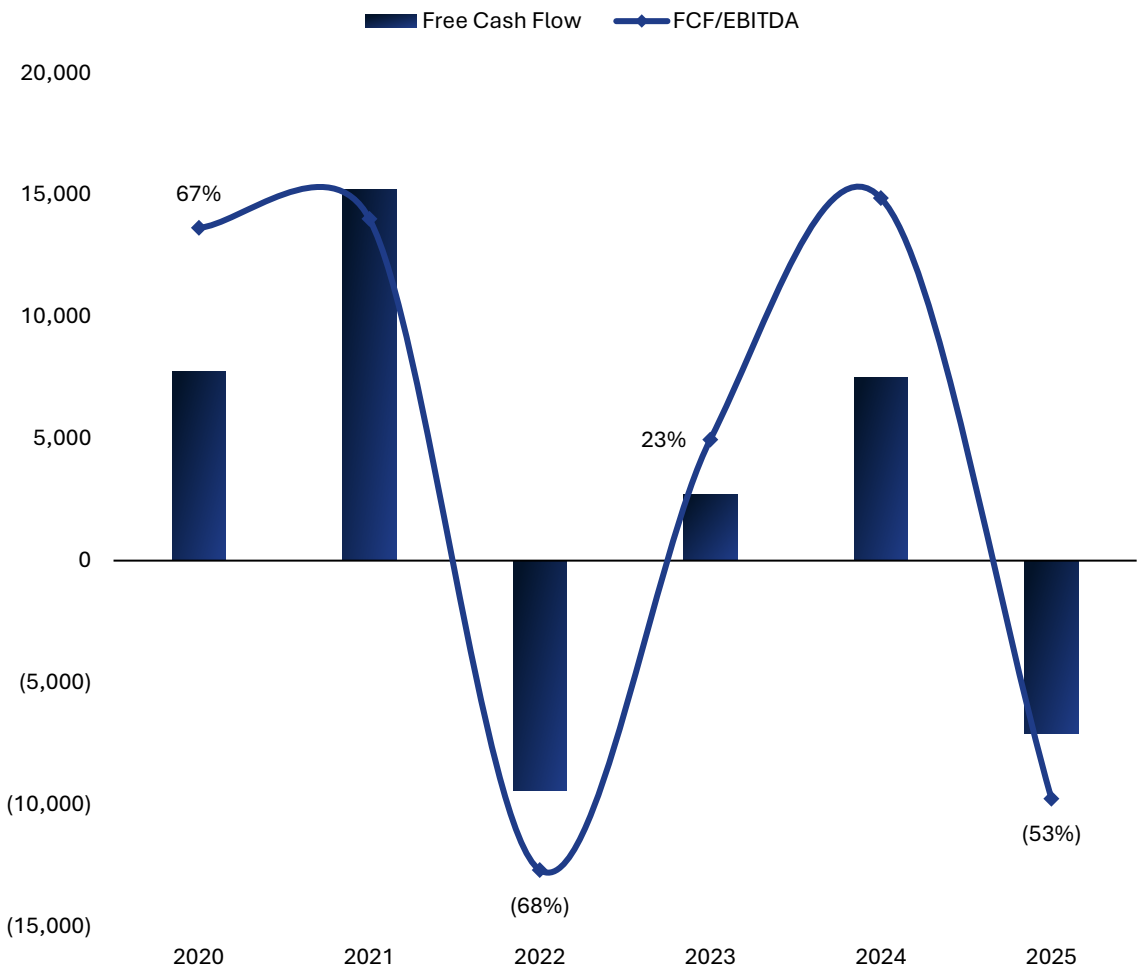
Notes: (1) Estimated as iron ore spot price net of Tubarão–Qingdao freight
Sources: CSN

Volatile Cash Generation and Leverage Pressure

After the iron ore boom in 2021, cash generation weakened while DSCR remained mostly below 1x, indicating growing financial pressure

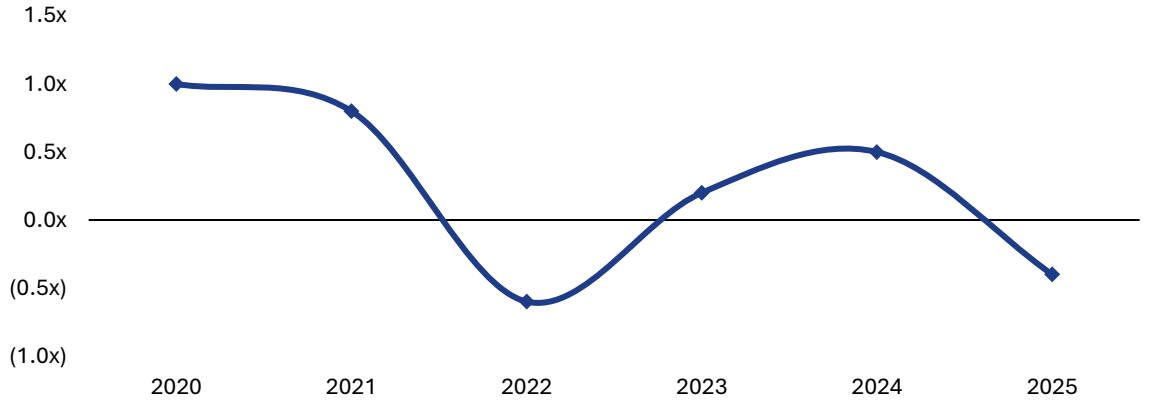
Free Cash Flow and Cash Conversion Proxy [BRL mn, %]

After the 2021 iron ore boom, cash flow deteriorated and became volatile



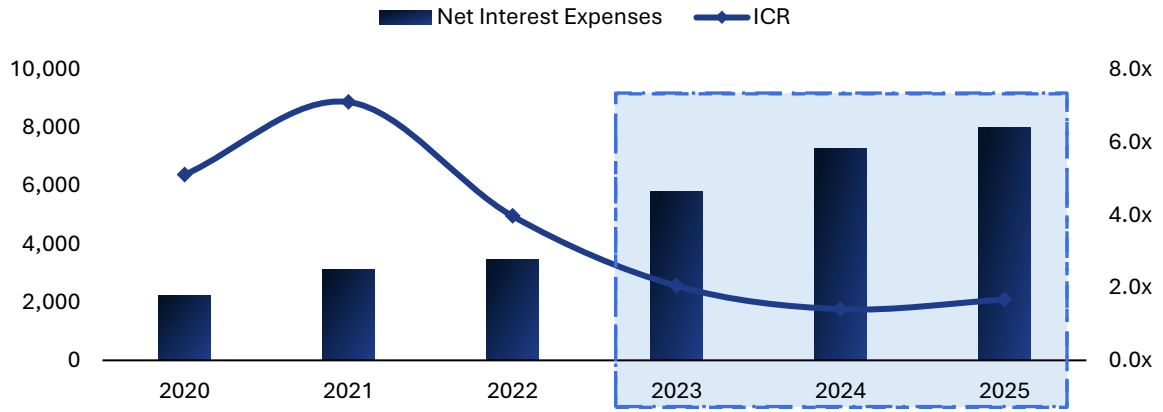
CSN Debt Service Coverage Ratio [x]

DSCR below 1x in most years signals limited ability to cover financial obligations



Net Interest Expenses and Interest Coverage Ratio[1] [BRL mn, x]

Debt servicing capacity has declined as financial costs increased



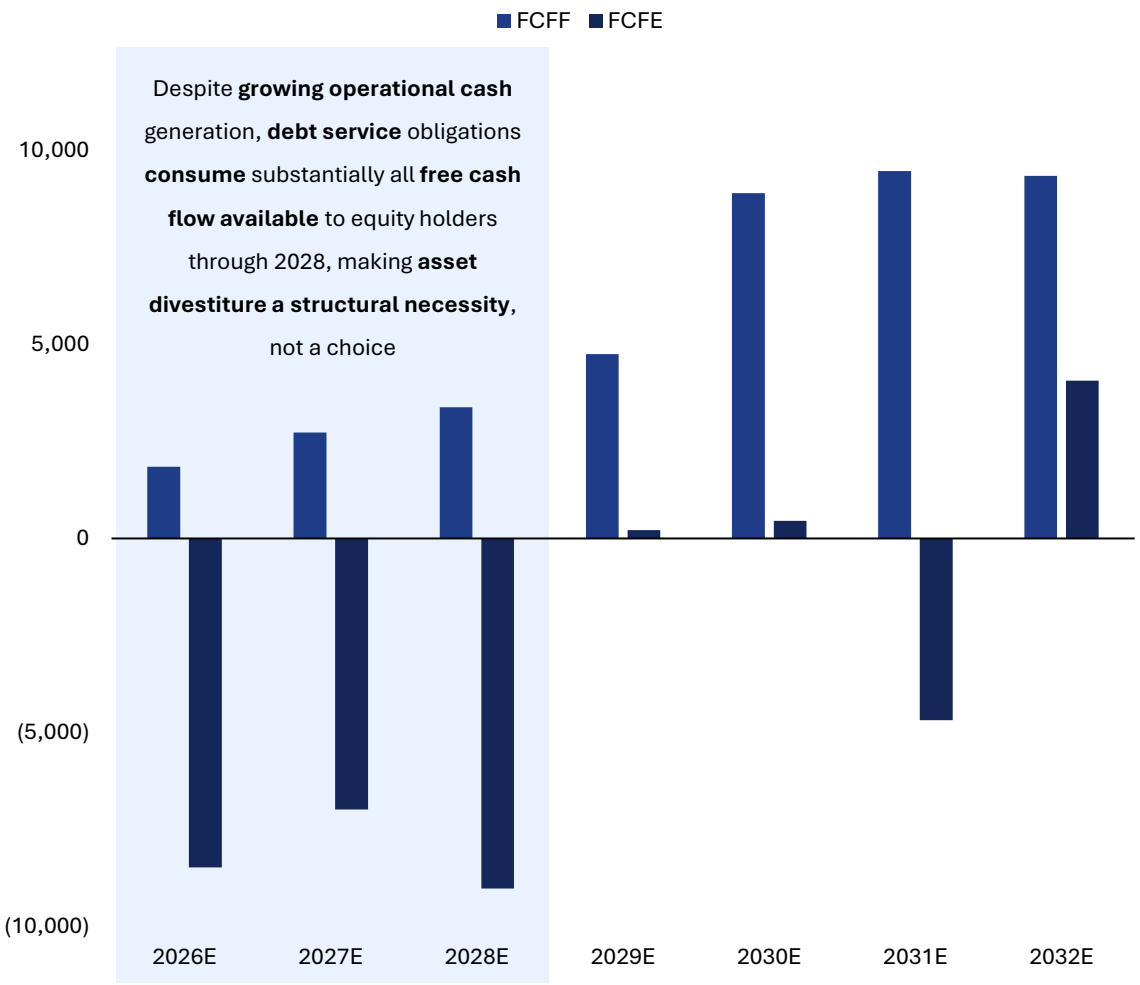
Notes: (1) EBITDA/Net Interest Expenses
Sources: CSN

Forced Divestment: A Structural Necessity

Debt service structurally erodes equity cash flow, making divestment the only viable path to deleveraging

FCFF and FCFE [BRL mn]

Interest expense and debt amortization absorb substantially all operating cash generation



Asset Divestment Strategy Aims to Reduce Balance Pressure

Selective asset sales to unlock value, improve capital structure and restore financial flexibility

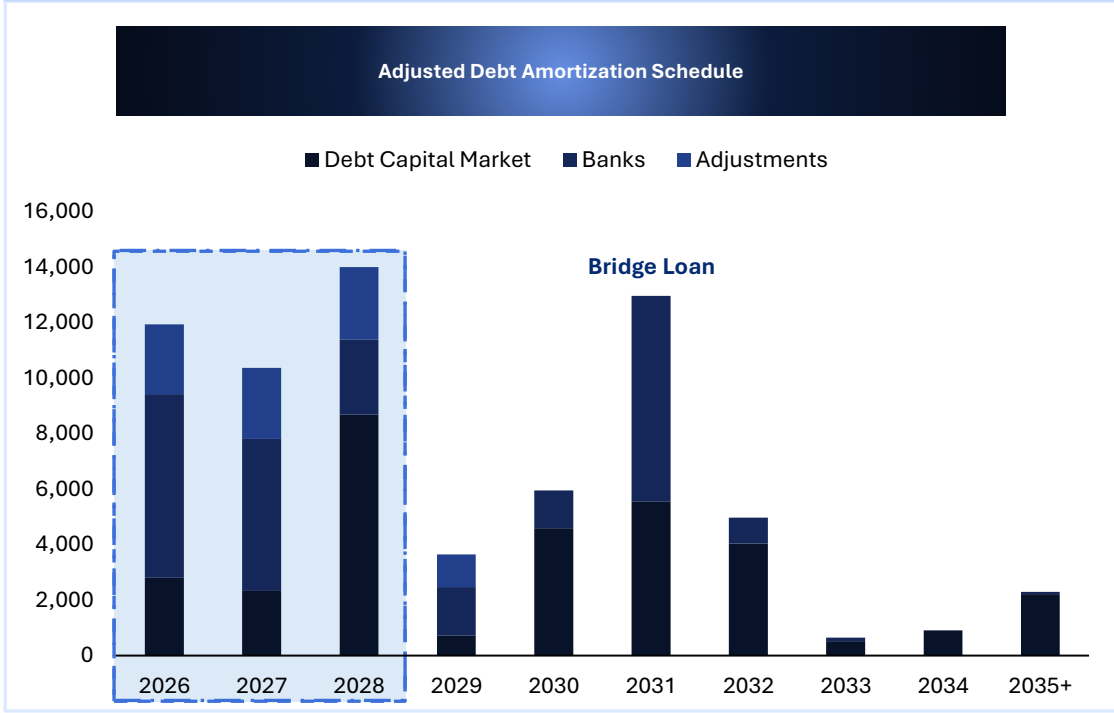
Valor Econômico

CSN plans to sell assets to reduce debt by up to R$ 18 billion

Summary:

- Plan foresees sale of the cement plant in 2026, with a focus on reducing leverage

January 16th, 2026



Notes:

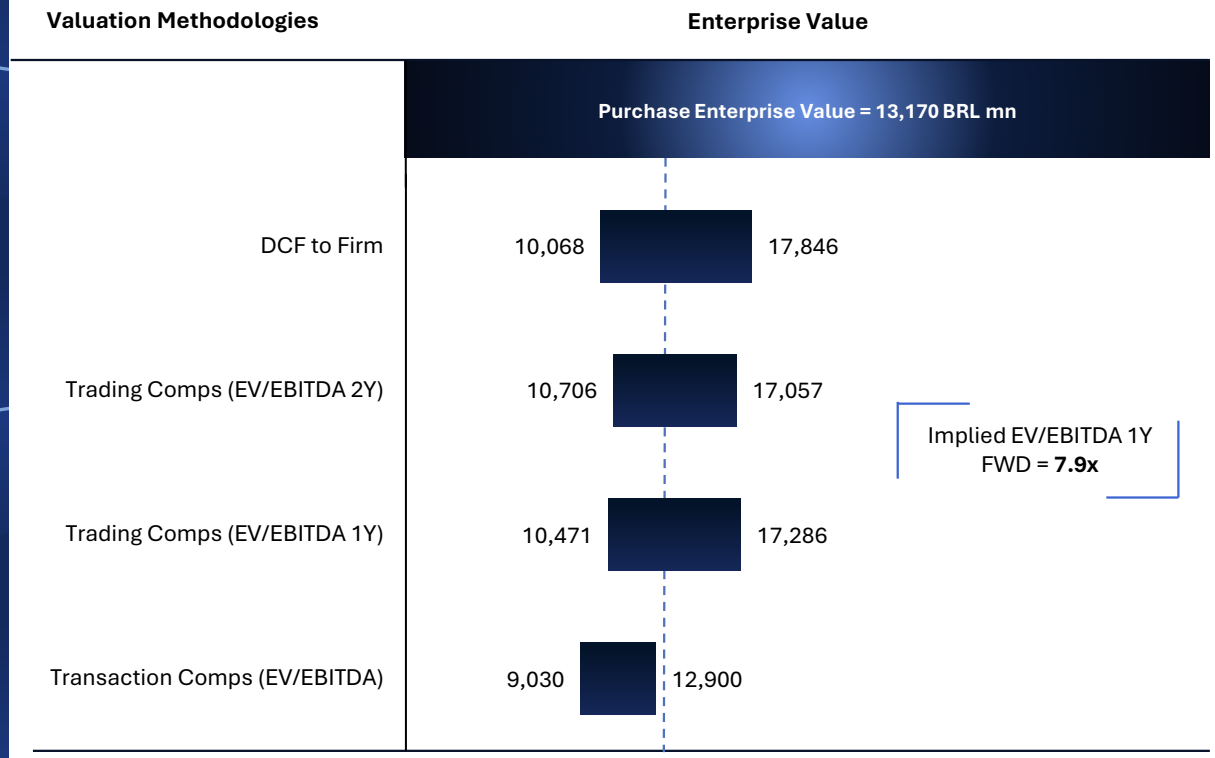
Sources: CSN, Valor Econômico

Why Not CSN Cimentos Only?

Standalone valuation highlights limited value unlock, while leverage remains structurally elevated even after CSN Cement sale

Football Field [BRL mn]

Implied valuation range highlights limited proceeds relative to balance sheet needs

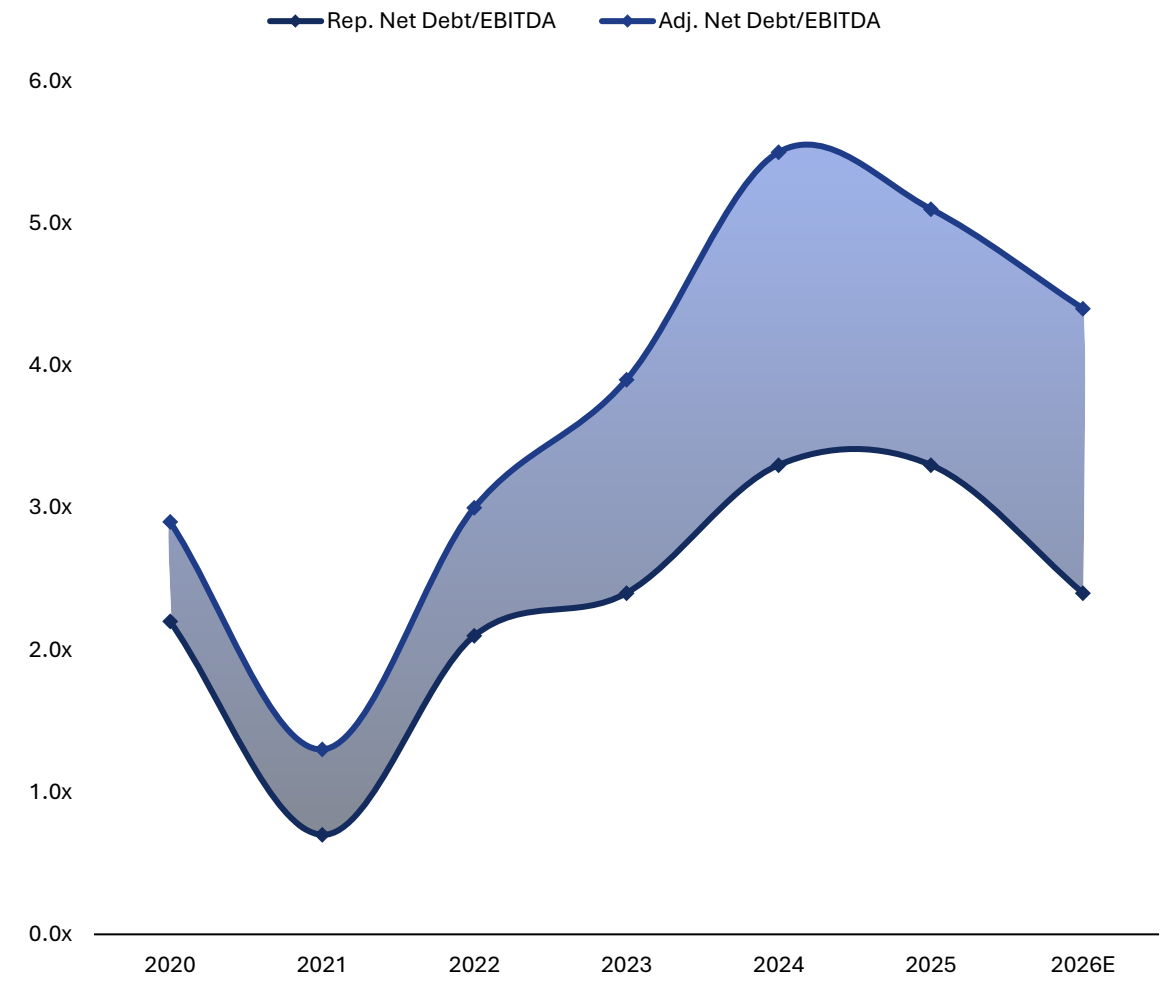


Key Assumptions:

- Discounted Cash Flow to Firm uses **11.0% - 15.0% WACC** & **2.0% – 3.0% Growth**
- Multiples Trading Comps [EV/EBITDA 1Y FWD] uses **6.3x – 10.4x EV/EBITDA**
- Multiples Trading Comps [EV/EBITDA 2Y FWD] uses **5.9x – 9.4x EV/EBITDA**
- Past Transactions uses **7.0x – 10.0x EV/EBITDA**

Net Debt/EBITDA Ex-Cement [x]

Adjusted leverage remains above sustainable levels, requiring broader asset sales



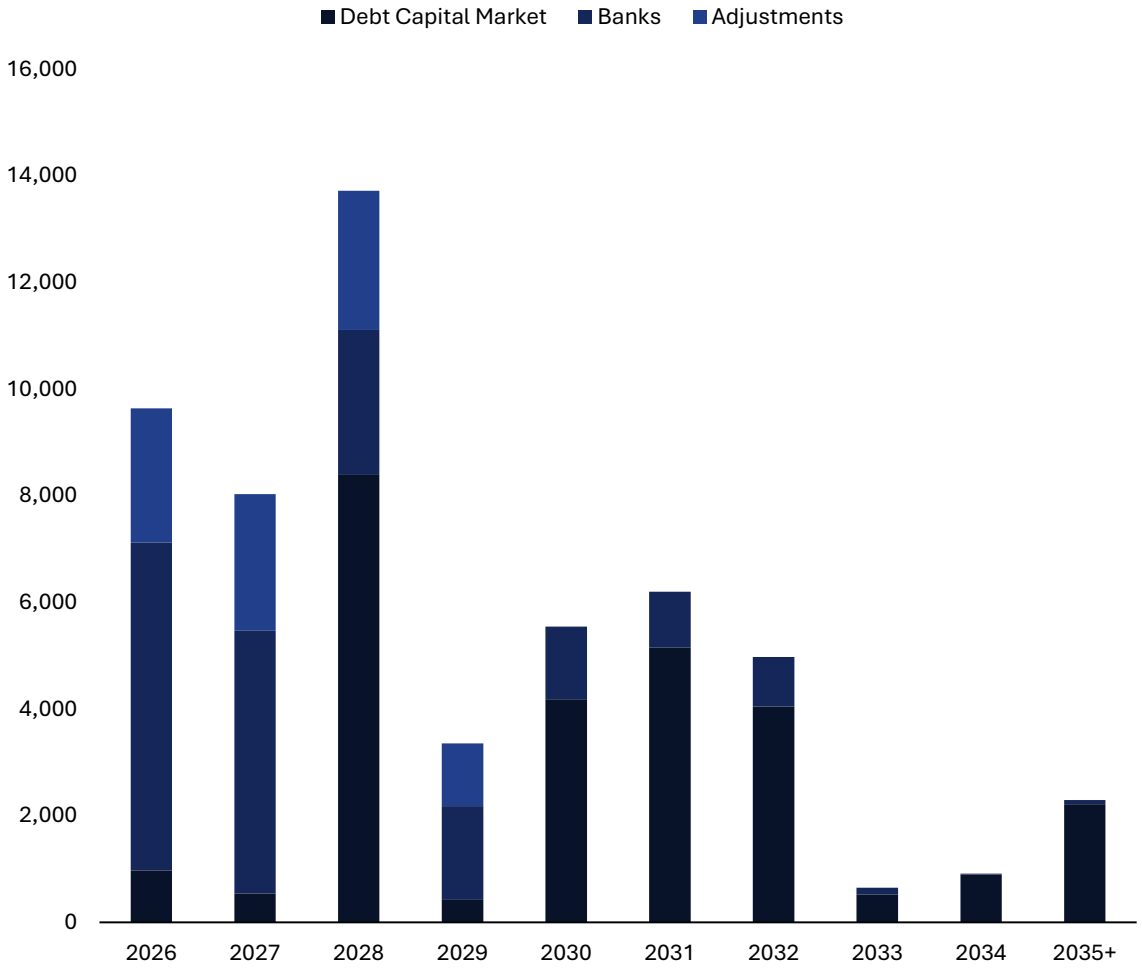
Notes:
Sources: CSN

A Partial Fix for a Structural Problem

While CSN Cimentos monetization provides short-term relief, debt servicing requirements remain structurally elevated

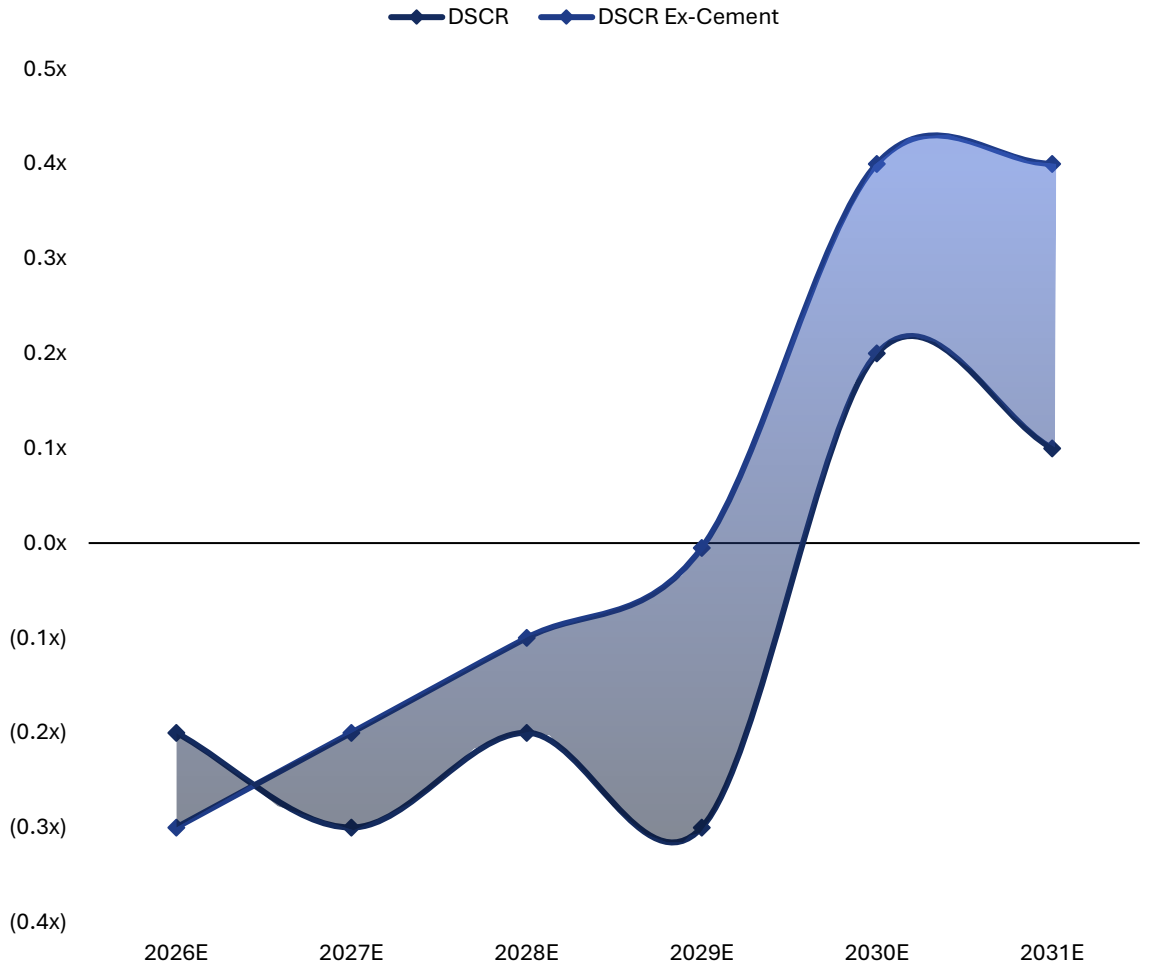
Near-Term Amortization Schedule[1] Remains Heavy [BRL mn]

Upcoming debt obligations remain elevated despite potential asset monetization



Debt Service Coverage Ratio [x]

Even after the cement sale, DSCR remains below 1.0x, reinforcing CSN's constrained debt coverage



Notes: (1) Assumes all cash will be allocated to deleveraging
Sources: CSN

InFinance Complementary Divestment Plan

Sequential asset monetization plan aimed at restoring balance sheet flexibility and easing near-term leverage pressure

CSN

1st Step

European Steel Assets

SWT Germany

USD 601 mn
Enterprise Value Offer

Lusosider Portugal

USD 211 mn
Enterprise Value Offer

2nd Step

Brazilian Downstream Steel Asset

CSN Paraná - Araucária

100.0%
Equity Stake

USD 366 mn
Enterprise Value Offer

3rd Step

Brazilian Logistics Railway

MRS

13.7%
Voting Capital

7.59%
Equity Stake

USD 538 mn
Equity Offer Value

Key Assumptions & Commentary

- Transactions assume full cash proceeds directed to deleveraging
- Steel assets assumed to be transferred on a debt-free basis, as the related financial obligations are primarily held at the holding company level rather than allocated to the operating assets
- European assets operate independently from Brazilian operations and are considered non-core to CSN's domestic platform
- MRS monetization is assumed feasible as CSN would still retain indirect exposure and shareholder benefits through its controlling stake in CMIN, which already holds part of the asset

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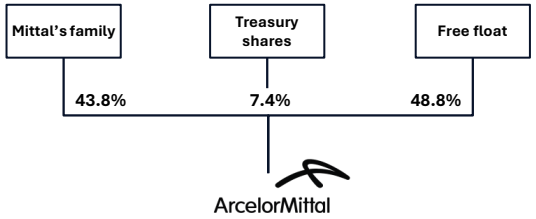
ArcelorMittal, At-a-Glance

Global steel leader with diversified geographic exposure and a strong presence across key industrial markets

ArcelorMittal

ArcelorMittal is the world's leading steel and mining company, supplying essential steel for sectors like automotive, construction, and energy. With operations across Europe, the Americas, and Asia, the group combines large-scale steelmaking with mining to strengthen supply reliability and competitiveness. It is also advancing its decarbonization agenda through electric arc furnaces and greater scrap use

Shareholders

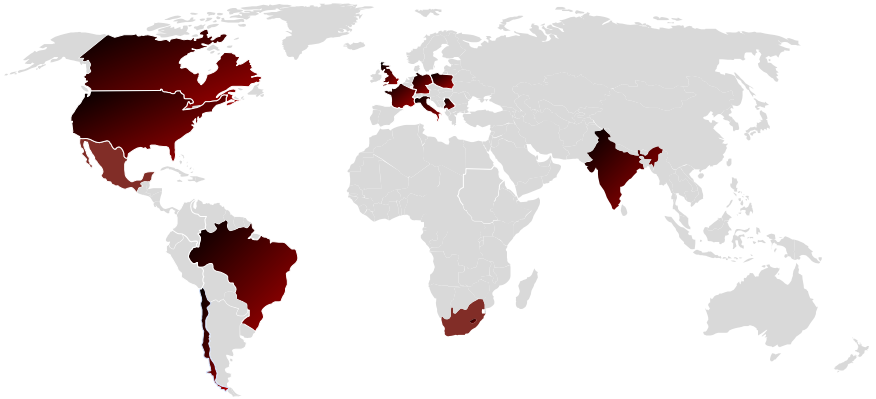


Key Financials

USD mn	2025
Market Cap	43,407
EBITDA	6,541
EBITDA Margin	10.7%
Net Debt/EBITDA	1.2x
Steel Ton	56.9

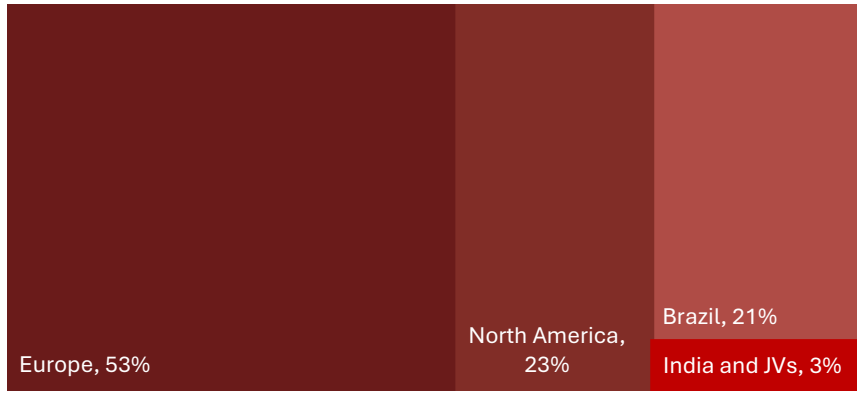
Global Footprint of ArcelorMittal Operations

Presence across key global steel markets



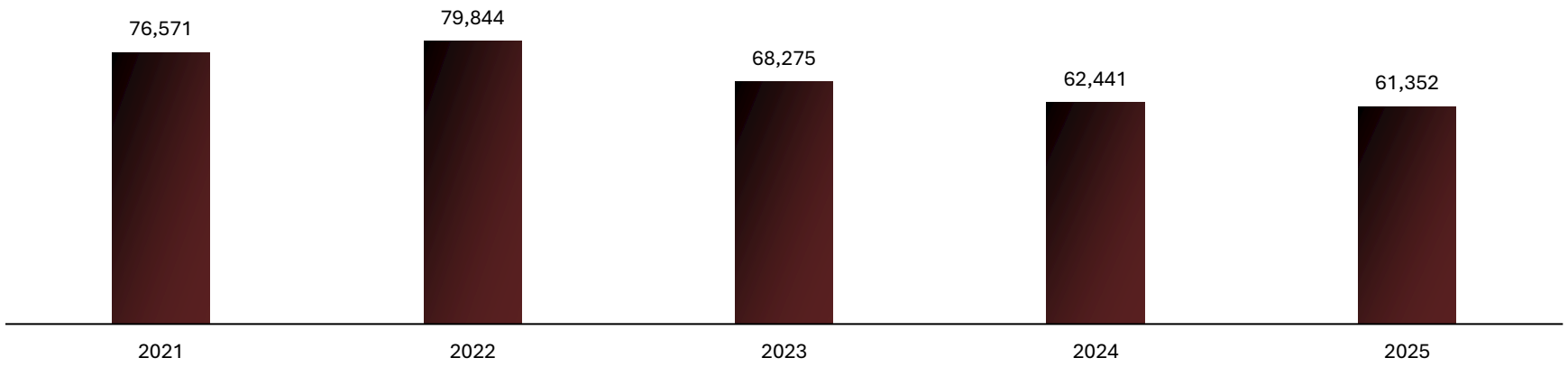
Revenue Breakdown by Region [%]

Europe is the largest revenue contributor, followed by NA and Brazil



Net Revenue[1] Evolution [USD mn]

Revenue softened after the 2022 commodity boom, reflecting the normalization of global steel prices



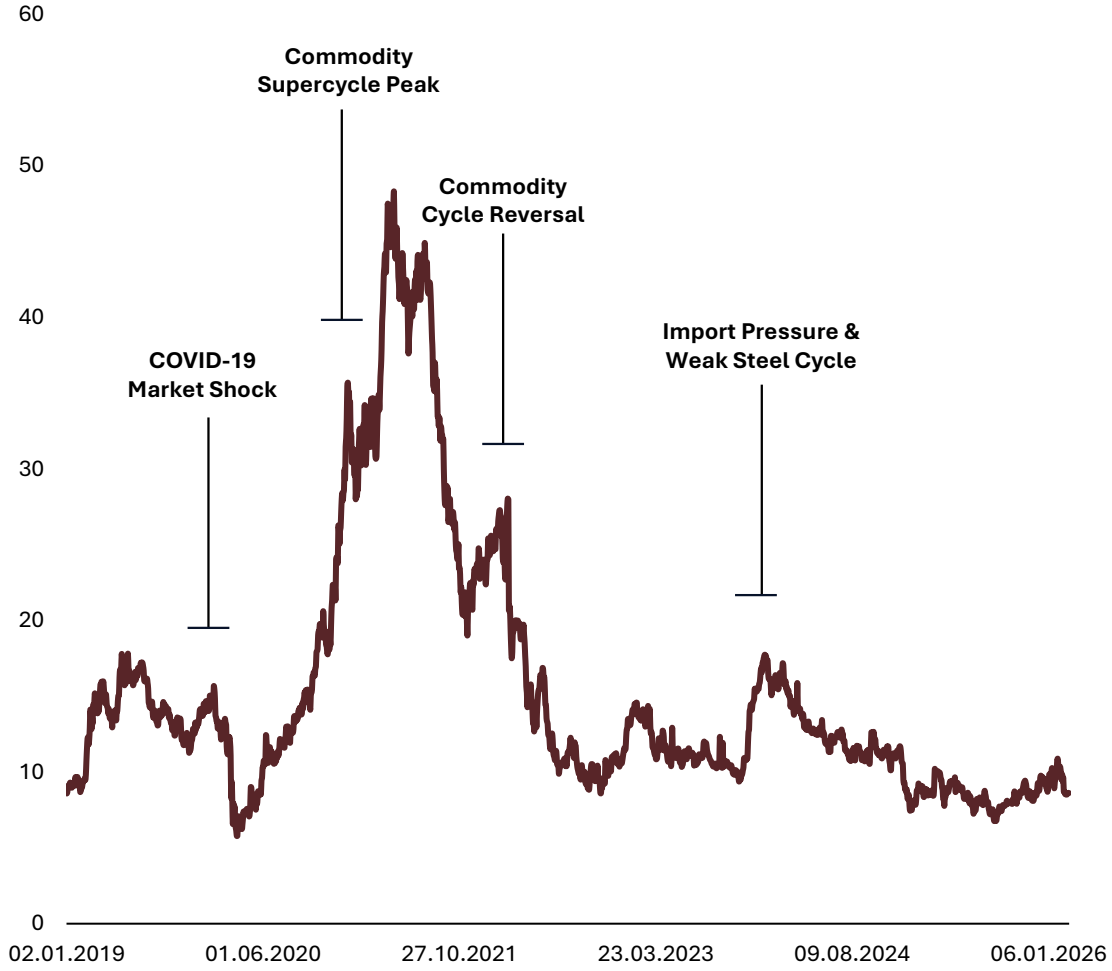
Notes: (1) ArcelorMittal Global
Sources: ArcelorMittal

Perfect Timing For ArcelorMittal

Weak steel profitability and persistent leverage pressures are driving CSN toward asset monetization, creating a unique acquisition window

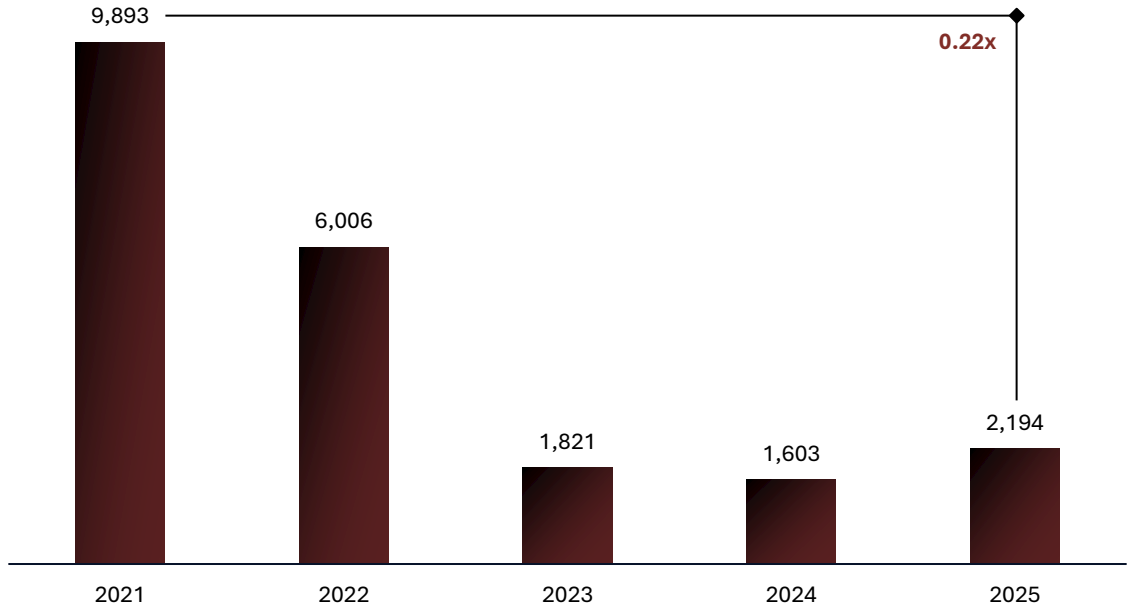
CSNA3 Stock Price Evolution [BRL]

Shares remain well below the 2021 peak as the steel cycle normalized and profitability weakened



CSN Steel EBITDA [BRL mn]

Strategic asset sales signal increasing pressure for balance sheet deleveraging



Valor Econômico

CSN approaches rivals and may sell up to 100% of its steel business

For now, discussions about the sale of a stake or even the entire steel division have been conducted by the company itself, which is expected to soon hire a bank to advise it

26/01/2026

Notes:
Sources: CSN, Valor Econômico

Deal Rationale

II

ArcelorMittal is Uniquely Positioned to Capitalize on this Divestment Opportunity

With a strong balance sheet and access to low-cost international funding, ArcelorMittal is well positioned to acquire these assets while expanding its downstream presence in Brazil

II.I

Global Scale and Operational Know-How

The world's largest steel producer with presence in 16 countries, an integrated distribution network and a proven operational playbook for turning around underutilized assets

II.II

Quantifiable Synergies Justify the Acquisition Premium

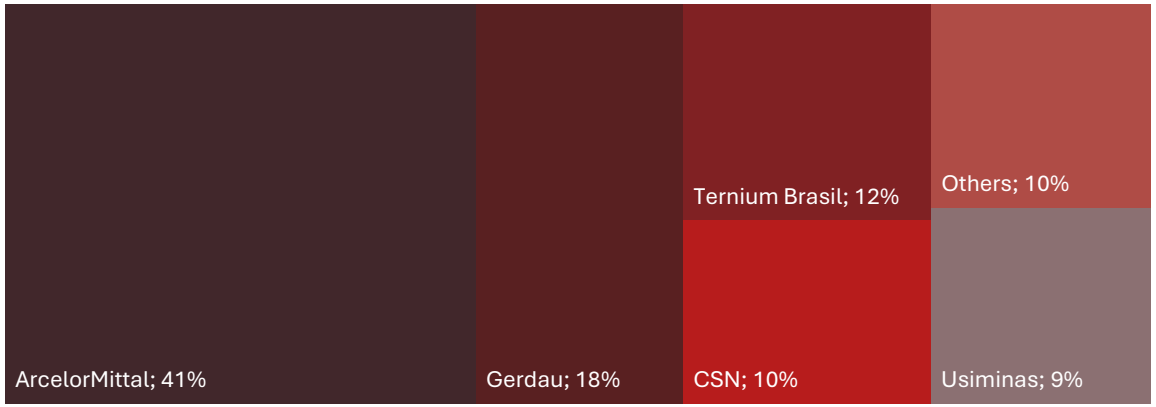
SG&A reduction, cost optimization and commercial integration across Brazilian and European operations, while the MRS Logística stake reinforces long-term logistics efficiency and domestic supply chain alignment

Efficiency Reinforces ArcelorMittal as Brazilian Steel Leader

Scale, operational discipline and superior cost structure allow ArcelorMittal to consistently outperform Brazilian peers in profitability and value creation

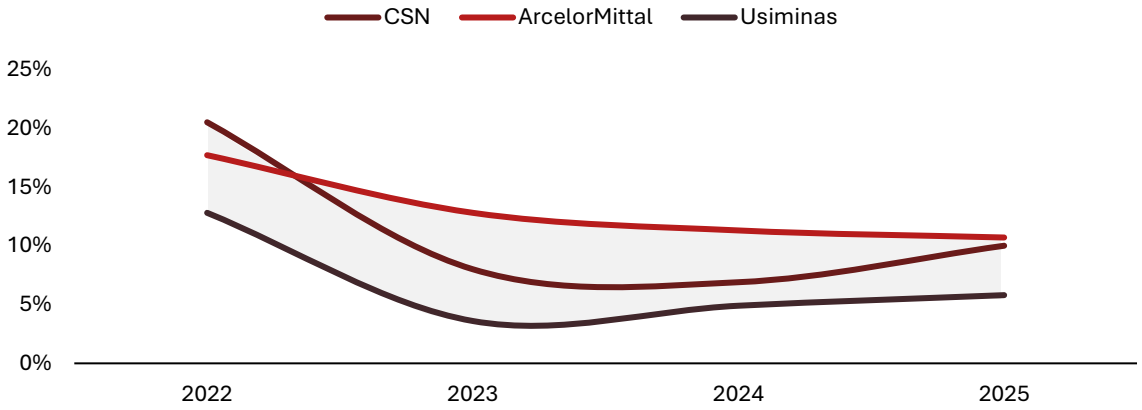
Brazilian Steel Production Market Share [%]

Market leadership reinforces ArcelorMittal's dominant industrial presence in Brazil



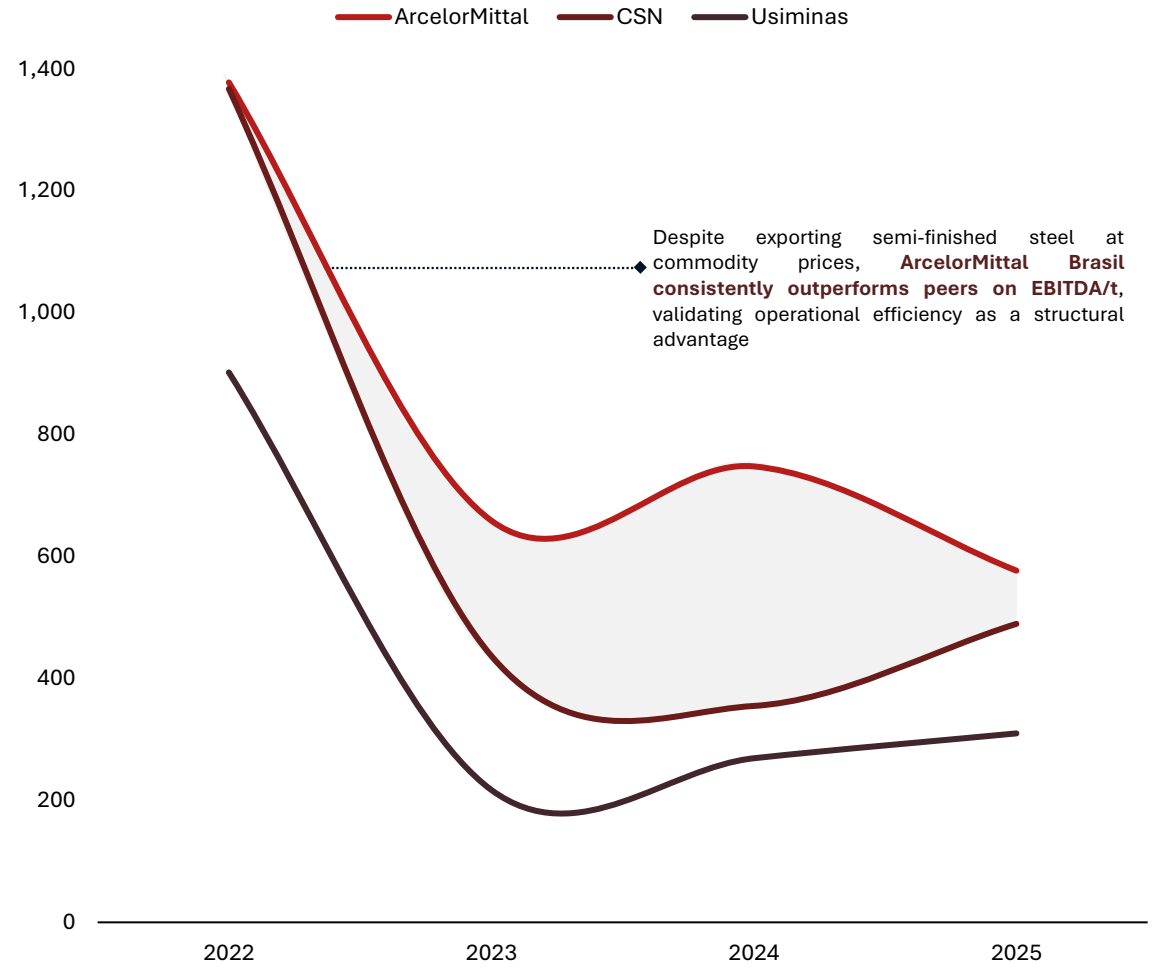
Steel EBITDA Margin Comparison [%]

Cost efficiency allows ArcelorMittal to sustain stronger profitability across the cycle



Steel EBITDA/t [BRL]

Price normalization and high input costs compressed profitability



Notes:
Sources: ArcelorMittal, CSN, Gerdau, Ternium, Usiminas

Growth Through Strategic M&A and Industrial Expansion

Targeted acquisitions strengthened downstream integration and expanded ArcelorMittal's industrial footprint in Brazil

CapEx Brazil (2021-2025): USD 3,643 mn

2025

TEKNOKROMA ⇄ ArcelorMittal — Entry into coating and pre-painted steel

2025

Tuper ⇄ ArcelorMittal — Verticalization into structural pipes

2023

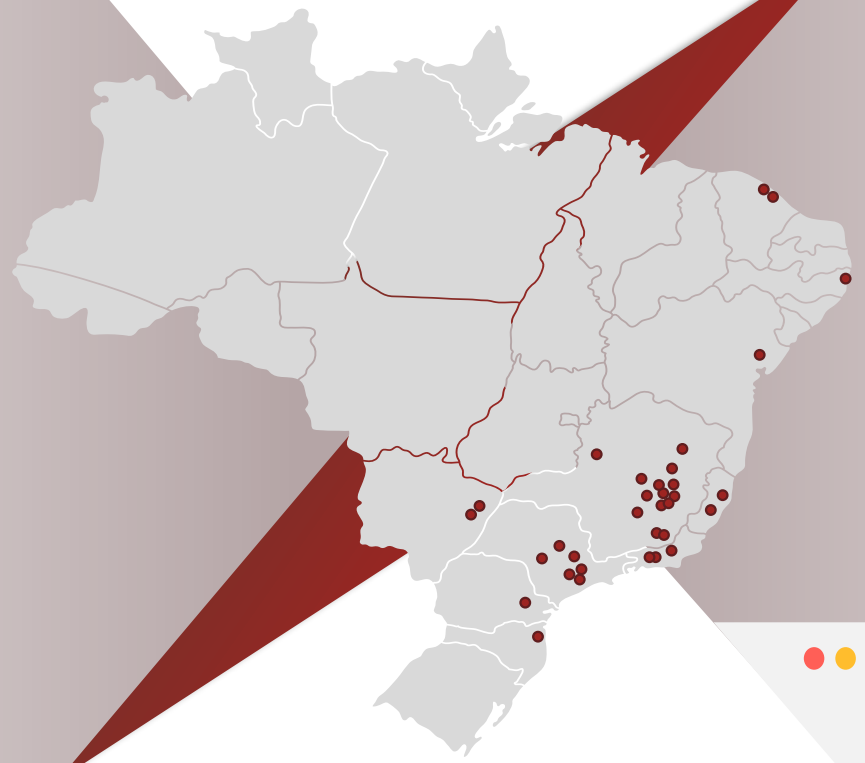
CSP Companhia Siderúrgica do Pecém ⇄ ArcelorMittal — Global scale with 3 Mt capacity in Pecém

2018

Votorantim Siderurgia ⇄ ArcelorMittal — Leadership in long steel through Votorantim

2005

CST ⇄ Belgo Mineira — Industrial base in flat and long steel in Brazil



27 units

Crude steel: 16.4 Mt
Iron ore: 8.1Mt

Acquisitions Rationale

Verticalization from crude steel to end solutions, internalizing processing and **capturing downstream** margins

Structural scale expansion and cost leadership through operational and **logistical** synergies

www.otempo.com.br

O TEMPO

ArcelorMittal plans an additional R$10 billion in investments in Brazil

ArcelorMittal wraps up R$25bn cycle and plans additional R$10bn in Brazil over the next five years

Notes:
Sources: ArcelorMittal

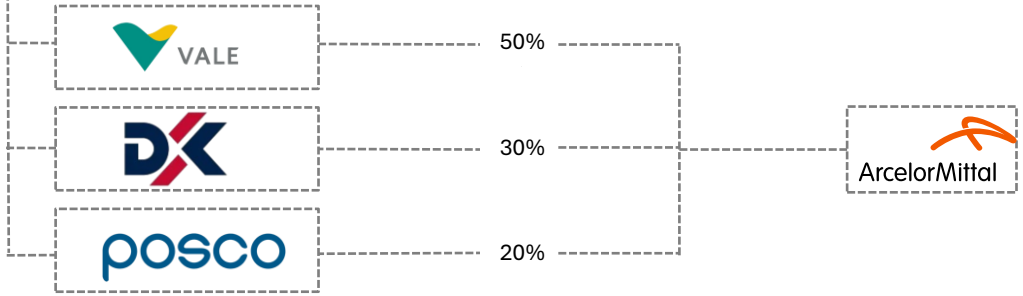
ArcelorMittal Pecém, a Successful Acquisition

ArcelorMittal transformed an underutilized asset into a full-capacity operation in less than 12 months

Value Creation Playbook at ArcelorMittal Pecém

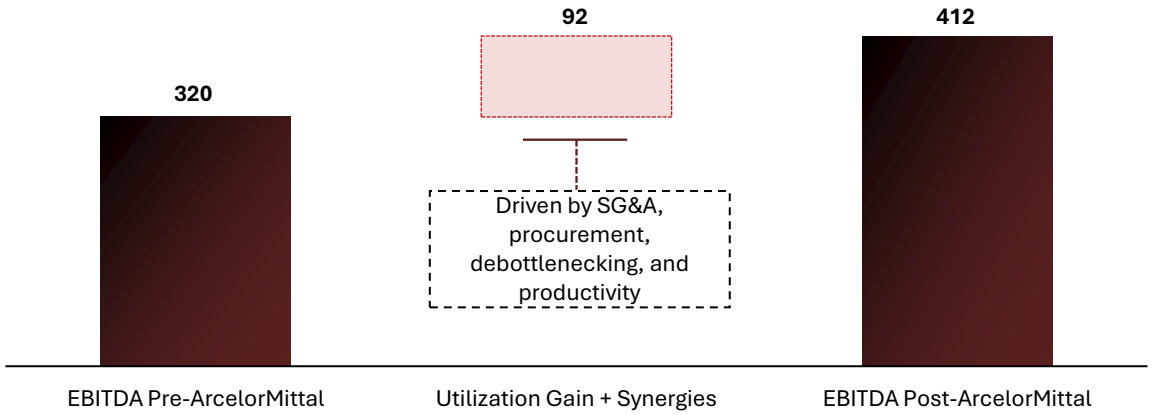
3Mtpa integrated facility with direct access to Northeast Brazil's largest deep-water port

In July 2022, Vale, Dongkuk and POSCO divested their stakes in CSP, originally built for **US$ 5,400mn**, operating within Brazil's first Export Processing Zone at a **preferential 15% tax rate**. ArcelorMittal acquired 100% at **59% below replacement cost, USD 2,193 mn**



EBITDA Expansion [BRL mn]

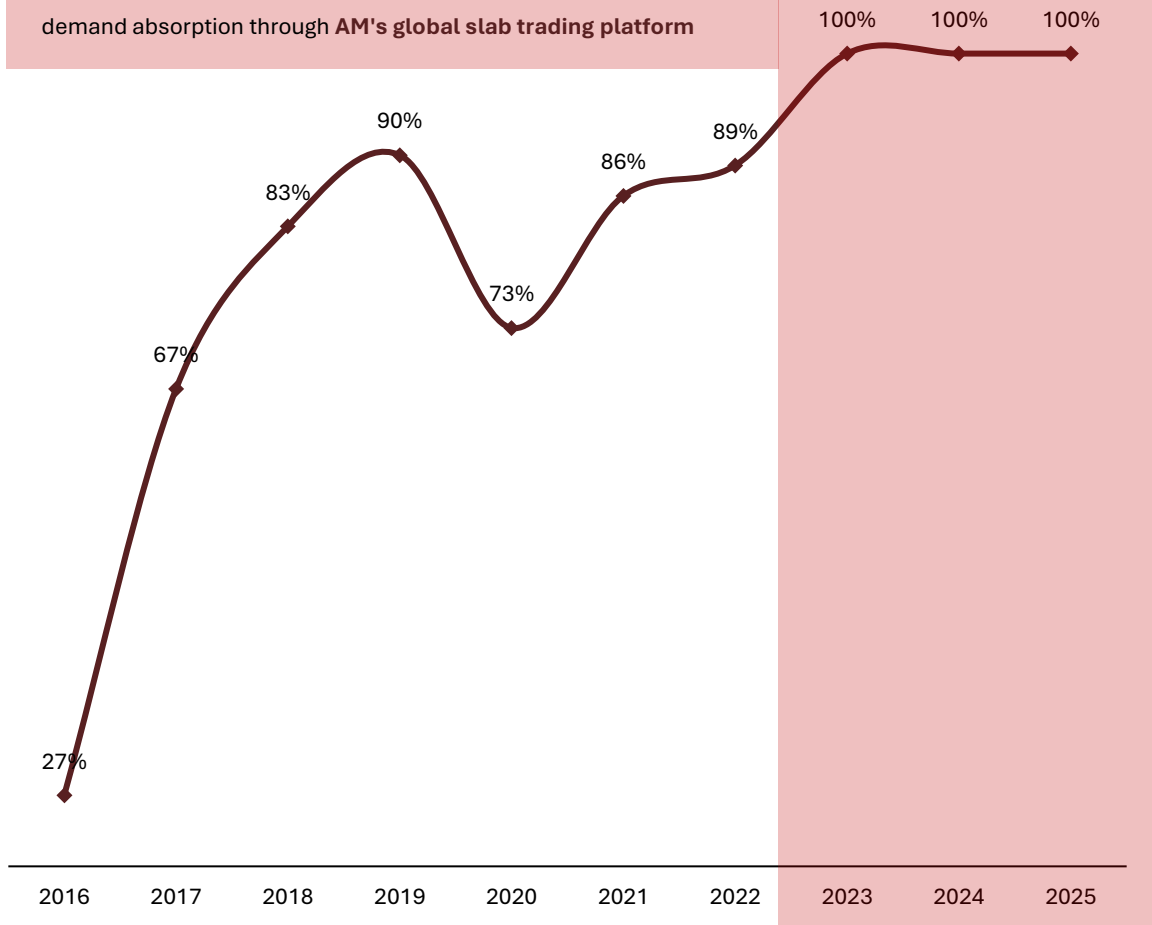
EBITDA grew 29% without expanding capacity and driven by operational optimization



Utilization Rate [% of Nominal Capacity]

Under ArcelorMittal, Pecém reached 100% utilization for the first time in 7 years of operations

Pecém reached 100% utilization under AM, sustained by export demand absorption through **AM's global slab trading platform**



Notes:
Sources: ArcelorMittal, Germano Mendes de Paula

Deal Rationale

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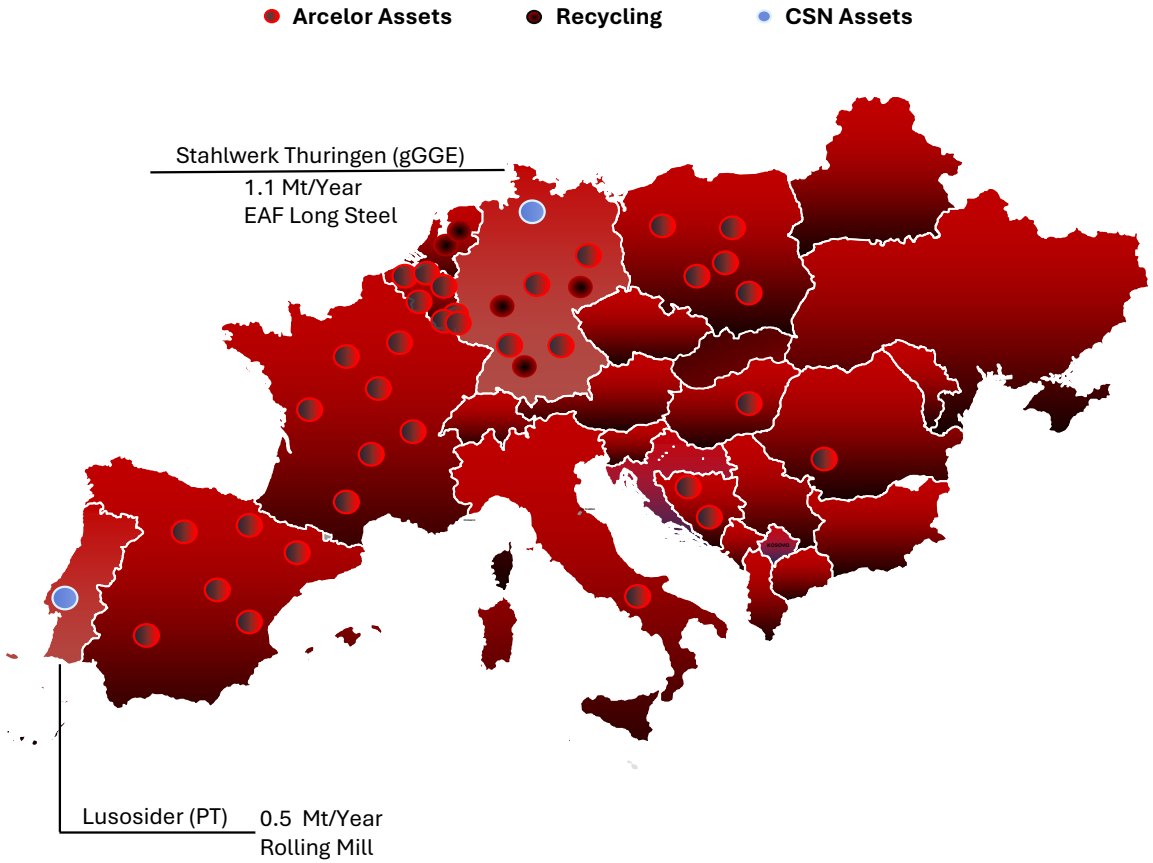
Europe: Underutilization as the Entry Thesis

Two complementary assets integrated into ArcelorMittal's established European network of flat and long steel operations

Europe Steel [SWT & Lusosider] | **Brazil Steel** | **Logistics [MRS]**

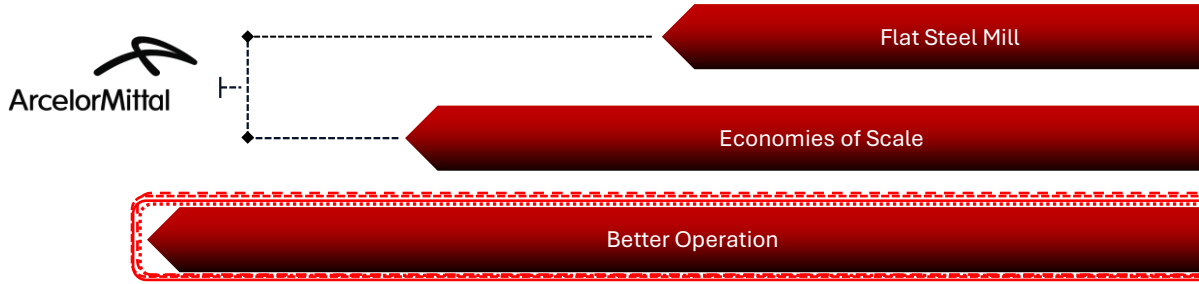
AM's European Network Absorbs Two Complementary Assets

SWT anchors long steel in Central Europe; Lusosider adds downstream flat finishing



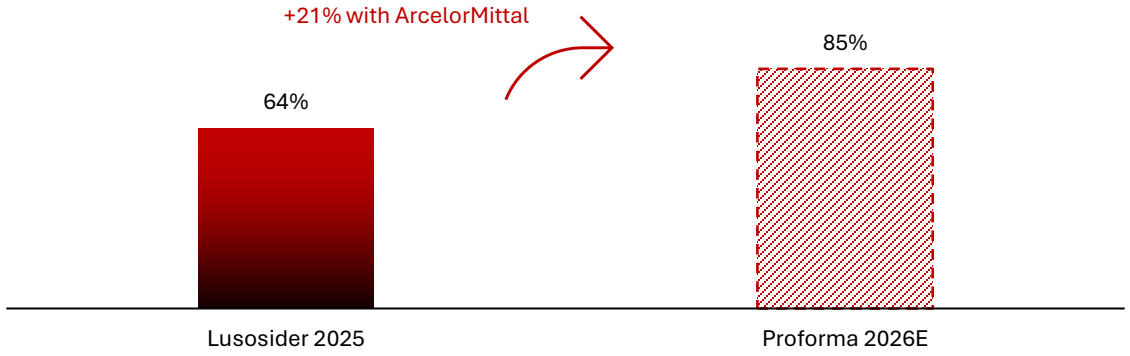
ArcelorMittal's Operational Edge

Global network and economies of scale translate directly into superior operational efficiency



Lusosider: 21pp Utilization Uplift Under AM's Platform

Access to AM's European commercial network unlocks demand, driving utilization from 64% to 85%



Notes:
Sources: ArcelorMittal, Germano Mendes Article

European Assets: IRR and Synergy NPV Analysis

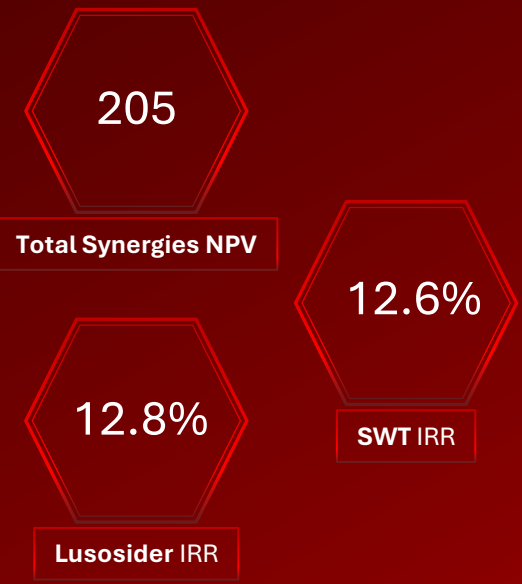
European downstream assets offer immediate operational synergies and logistics optimization, reinforcing value creation despite a challenging steel scenario

European Steel Unit Economics

Operational synergies and utilization improvements across Lusosider and SWT support the USD 812mn acquisition premium while maintaining double-digit IRR returns

		2026E	2027E	2028E	2029E	2030E	2031E	TV
Lusosider: Δ Production	[kt]	**90**						
NOPAT	[USD mn]	19.5	21.2	22.2	23.3	22.7	23.1	
(-/+) Δ Working Capital	[USD mn]	3.6	3.6	3.6	3.6	3.6	3.6	
D&A	[USD mn]	3.6	3.6	3.6	3.6	3.6	3.6	
CapEx	[USD mn]	(3.6)	(3.6)	(3.6)	(3.6)	(3.6)	(3.6)	
FCFF	[USD mn]	23.0	24.7	25.8	26.9	26.2	26.6	
Incremental FCFF	[USD mn]	**26.4**	**4.4**	**5.6**	**5.9**	**5.4**	**5.3**	**56.6**
NPV of Synergies	[USD mn]	**69**						
SWT:								
NOPAT	[USD mn]	74.2	51.6	54.4	52.6	55.5	77.2	
(-/+) Δ Working Capital	[USD mn]	9.8	2.9	(0.5)	(1.0)	(1.3)	(3.2)	
D&A	[USD mn]	8.9	8.9	8.9	8.9	8.9	8.9	
CapEx	[USD mn]	(8.9)	(8.9)	(8.9)	(8.9)	(8.9)	(8.9)	
FCFF	[USD mn]	84.0	54.5	54.0	51.5	54.2	74.0	
Incremental FCFF	[USD mn]	**21.4**	**18.3**	**13.5**	**12.7**	**14.4**	**13.0**	**139.2**
NPV of Synergies	[USD mn]	**136**						
Total NPV Synergies	[USD mn]	**205**						

Base Scenario



IRR	Lusosider Premium				
12.8%	36%	33%	30%	27%	24%
Utilization Rate					
74%	10.4%	10.8%	11.4%	11.9%	12.4%
77%	11.1%	11.6%	12.1%	12.6%	13.2%
80%	11.8%	12.3%	12.8%	13.3%	13.9%
83%	12.4%	12.9%	13.5%	14.0%	14.6%
86%	13.1%	13.6%	14.1%	14.7%	15.2%

IRR	SWT Premium				
12.6%	25.0%	20.0%	15.0%	10.0%	5.0%
COGS Savings					
3.0%	9.2%	10.1%	10.9%	11.8%	12.8%
4.0%	10.0%	10.9%	11.8%	12.7%	13.7%
5.0%	10.8%	11.7%	12.6%	13.5%	14.5%
6.0%	11.6%	12.4%	13.4%	14.3%	15.3%
7.0%	12.3%	13.2%	14.1%	15.1%	16.1%

Notes:
Source: Own Elaboration

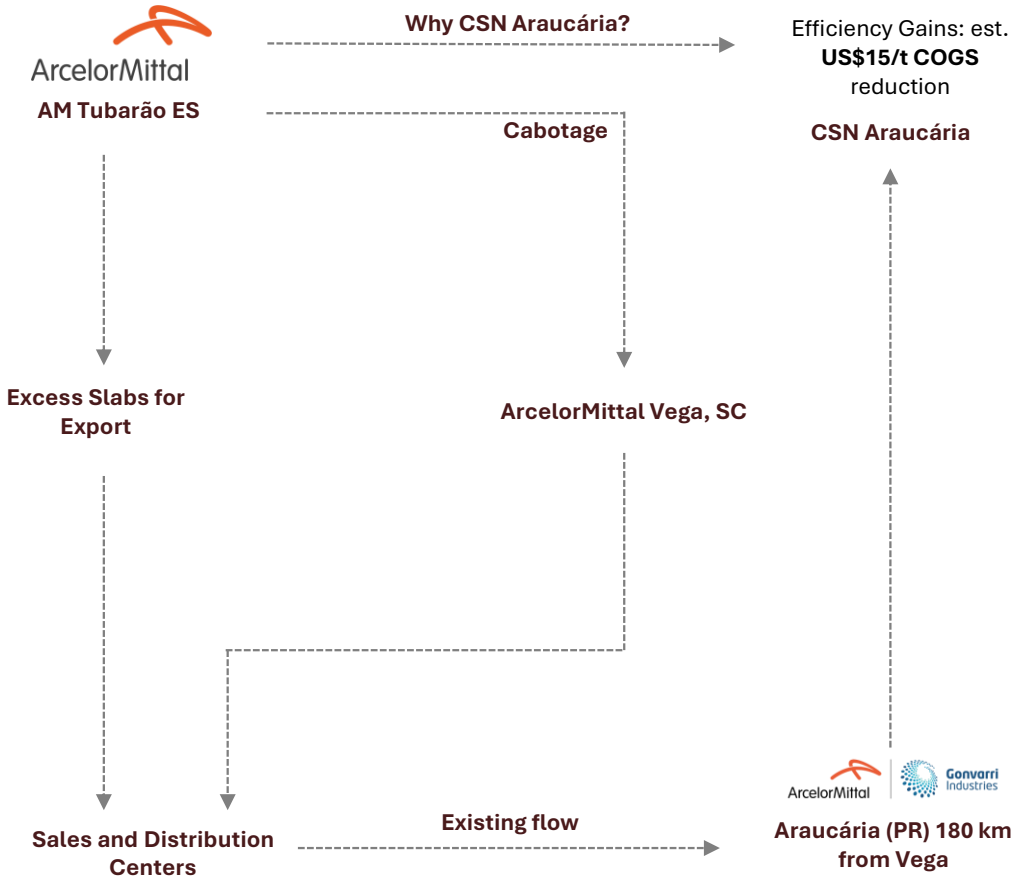
ArcelorMittal: Acquiring HAV Finishing Capacity

6.5 Mt semi-finished surplus with no rolling match drives the case for a downstream acquisition leveraging AM Brasil's 120-channel distribution network

Europe Steel [SWT & Lusosider] | **Brazil Steel [Araucária]** | Logistics [MRS]

Araucária: Closing the Value Chain Loop

Tubarão–Vega–Araucária flow already exists: acquisition captures est. US$15/t COGS reduction



ArcelorMittal Installed Capacity by Plant [Mtpa]

Slab surplus with no rolling match drives the case for downstream acquisition unlocking synergies

Plant	Location	Slab Capacity	Rolling Capacity	Excess
ArcelorMittal Pecém	CE	3.0 Mt	60	3 Mt
ArcelorMittal Tubarão	ES	7.5 Mt	60	3.5 Mt
ArcelorMittal Vega	SC	-	24	-

Araucária Acquisition: Synergy NPV Sensitivity Analysis [USD mn]

Base case: US$15/t COGS reduction and 30% SG&A rationalization post-integration

COGS Reduction [US$/t] \ NPV	SG&A Reduction [%]						
84	15%	20%	25%	**30%**	35%	40%	45%
7.5	42	49	56	64	71	78	86
10.0	48	56	63	70	78	85	92
12.5	55	62	70	77	84	92	99
15.0	62	69	76	**84**	91	98	106
17.5	68	76	83	90	98	105	112
20.0	75	82	89	97	104	111	119
22.5	81	89	96	103	111	118	125

Notes:
Sources: ArcelorMittal, CSN

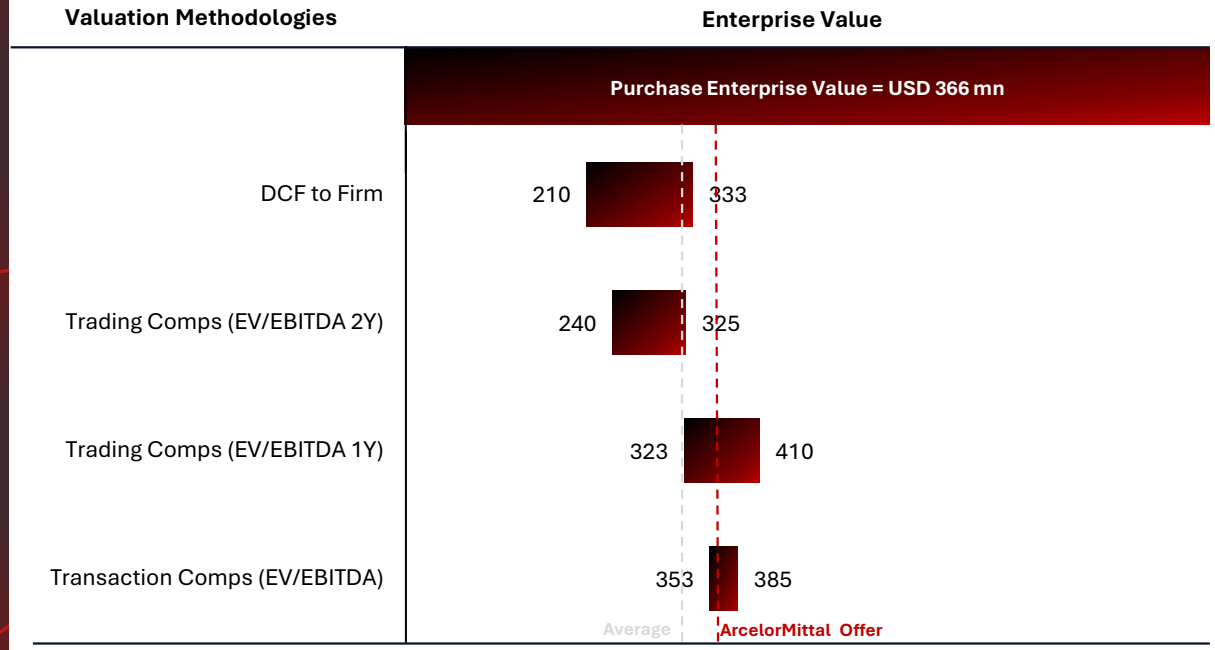
Acquisition Premium Supported by Synergy Capture

Synergy capture under AM's operational platform justifies the acquisition premium over standalone intrinsic value

Europe Steel [SWT & Lusosider] | **Brazil Steel [Araucária]** | **Logistics [MRS]**

Football Field Analysis: Synergies Justify the Entry Price [USD mn]

USD 366mn entry sits above DCF midpoint, with USD 83.6mn in synergy NPV covering the premium



Key Assumptions:

- Discounted Cash Flow to Firm uses **12.0% - 15.0% WACC** & **2.0% - 3.0% Growth**
- Multiples Trading Comps [EV/EBITDA 1Y FWD] uses **5.4x - 6.8x EV/EBITDA**
- Multiples Trading Comps [EV/EBITDA 2Y FWD] uses **4.3x - 5.9x EV/EBITDA**
- Past Transactions uses **5.9x - 6.4x EV/EBITDA**

Same Asset, Higher Returns: ArcelorMittal's Operational Edge

ArcelorMittal's operational know-how unlocks SG&A efficiencies and cost reductions

CSN Araucária Pre-Deal

		2026E	2027E	2028E	2029E	2030E
(=) NOPAT	[USD mn]	27.9	25.7	28.0	30.4	32.9
(+) D&A	[USD mn]	17.9	16.5	18.0	19.5	21.1
(-) CapEx	[USD mn]	(17.9)	(16.5)	(18.0)	(19.5)	(21.5)
FCFF	[USD mn]	**27.9**	**25.7**	**28.0**	**30.4**	**32.9**
PV FCFF	**[USD mn]**	**292.7**				

CSN Araucária Post-Deal

		2026E	2027E	2028E	2029E	2030E
(=) NOPAT	[USD mn]	36.4	33.9	36.6	39.3	42.1
(+) D&A	[USD mn]	17.9	16.5	18.0	19.5	21.1
(-) Capex	[USD mn]	(17.9)	(16.5)	(18.0)	(19.5)	(21.5)
FCFF	[USD mn]	**36.4**	**33.9**	**36.6**	**39.3**	**42.1**
PV FCFF	**[USD mn]**	**376.3**				

NPV of Synergies :USD 83.6 mn | IRR: 11.3%

Notes:
Sources: ArcelorMittal, CSN

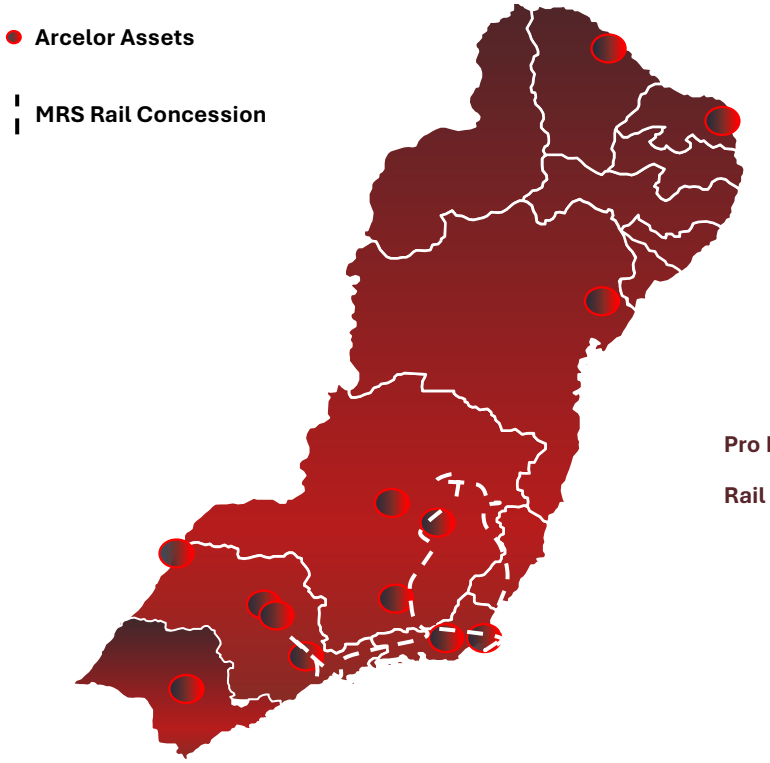
Acquisition Secures Strategic Logistics Control

Minority stake in MRS anchors ArcelorMittal's position in Brazil's core steel corridor

Europe Steel [SWT & Lusosider] | **Brazil Steel [Araucária]** | **Logistics [MRS]**

Geographic Synergies and Complementary Business

ArcelorMittal's assets cluster along the MRS corridor, making ownership a natural strategic fit



Pro Forma Production: 16.6 Mt

Rail Network: 1.643 Km

ArcelorMittal uses the MRS network to **transport iron ore from Serra Azul**, while also benefiting from the proximity **and logistics operations supporting its plants in Barra Mansa, Juiz de Fora and Resende**

MRS Logística: DCF [USD mn]

Regulated concession renewed in 2022 until 2056 underpins USD 5,066mn PV FCFF

	UNIT	2026E	2027E	2028E	[...]	2056E
(=) NOPAT	[USD mn]	366	395	427	...	2.279
(+) D&A	[USD mn]	262	270	284	...	433
(+) Δ NWK	[USD mn]	(76)	(7)	(7)	...	(107)
(-) CapEx	[USD mn]	(449)	(514)	(480)	...	(433)
FCFF	[USD mn]	**103**	**144**	**223**	**...**	**2.260**
PV FCFF	**[USD mn]**	**5.066**				

Logistics Savings Sensitivity [USD mn]

Logistics savings based on potential volumes transported through MRS (base tariff: R$35.3/t)

Captured Volume [Mt] \ Shareholder Discount [%]	NPV 93	2,5%	5,0%	7,5%	**10,0%**	12,5%	15,0%	17,5%
4		13	26	38	51	64	77	90
5		16	32	48	64	80	96	112
6		19	38	58	77	96	115	134
7		23	47	70	**93**	117	140	163
8		26	51	77	102	128	154	179
9		29	58	86	115	144	173	202
10		32	64	96	128	160	192	224

Notes:

Sources: ArcelorMittal, CSN, MRS

MRS Ownership Structure and ArcelorMittal's Stake

8% minority interest provides board influence without operational control obligations

Europe Steel [SWT & Lusosider] | **Brazil Steel [Araucária]** | **Logistics [MRS]**

MRS Stake Valuation Reference

CSN's recent stake sale establishes the benchmark valuation for a potential ArcelorMittal acquisition

Precedent Transaction

In Dec-2025, **CSN sold an 11.17% stake in *MRS Logística*** to *CSN Mineração* for R$3.35bn. The deal **implies a valuation of BRL 30 bn** for MRS, with CSN's direct stake reduced to 7.6%

CSN Companhia Siderúrgica Nacional — 7,6%

CSN Mineração — 29,9%

0% premium → MRS

Our Transaction

MRS represents the key asset in the transaction, with ArcelorMittal paying above the estimated US$ 93 mn of synergies to secure **a board seat**, acquiring **7.6% for USD 538 mn**

New MRS Shareholding Structure [%]

MRS stake grants ArcelorMittal voting power, strategic influence and preferential logistics rates

	Pre-Deal		Pro Forma	
Owner	**% Total Capital**	**% Voting Capital**	**% Total Capital**	**% Voting Capital**
MBR (Vale)[1]	33.1%	20.0%	33.1%	20.0%
CMIN	29.9%	14.3%	29.9%	14.3%
Usiminas	11.2%	19.9%	11.2%	19.9%
Vale	10.9%	19.4%	10.9%	19.4%
CSN Holding S.A	**7.6%**	**13.7%**	**0%**	**0%**
Others	7.3%	12.7%	7,3%	12,7%
ArcelorMittal	**0%**	**0%**	**7.6%**	**13.7%**

FEBRUARY 27, 4:00PM — Credit InFinance & CSN DCM Call (Raisa Dreicer & Matheus Cardani)

> The MRS stake grants CSN **preferential logistics rates across the entire chain,** from Congonhas to the port, a hard-to-replicate asset that provides a **structural competitive edge over non-shareholder peers**

Notes: (1) MBR (Vale subsidiary)
Sources: ArcelorMittal, CSN

InFinance Project *Talos*

€1.5bn three-tranche EMTN[1] issuance fully funds the acquisition at 3.40% blended cost, with no cash

InFinance Debt Emisson

InFinance Bond — Re-Tap

Amount	€250mn
Currency	Euro
Cost of Debt	3.250%
Maturity:	3 years

P. Fiuza R. Antão V. Castro

InFinance Bond

Amount	€500mn
Currency	Euro
Cost of Debt	3.250%
Maturity	4 years

P. Fiuza R. Antão V. Castro

InFinance Bond

Amount	€750mn
Currency	Euro
Cost of Debt	3.625%
Maturity	6 years

P. Fiuza R. Antão V. Castro

InFinance Bond Emission

Three tranches laddering maturities across 2028, 2029 and 2031

Bond Emisson

ArcelorMittal is raising €1,500mn (USD 1,756mn) under its €10,000mn EMTN programme in Luxembourg, structured across three tranches to optimize the maturity profile: a €250mn re-tap of Series 13 (2028), a new €500mn issuance (2029) and a new €750mn benchmark issuance (2031). Of the USD 1,716mn in net proceeds, USD 812mn will finance the acquisition of Lusosider and Stahlwerk Thüringen (SWT), with USD 904mn channelled to ArcelorMittal Brasil via capital increase to fund the acquisition of Araucária and the MRS Logística stake

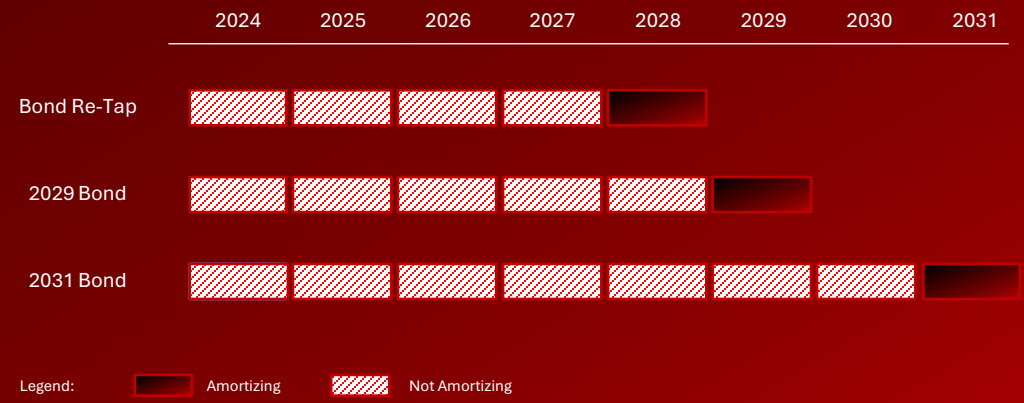
3.400% Average Cost of Debt

1,500mn (EUR) Total Emission

100.0% Transaction Debt

0.0% Cash Transaction

Debt Amortization Schedule



Notes: (1) Euro Medium Term Note
Source: Own Elaboration

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InFinance Bond Emission

Three tranches laddering maturities across 2028, 2029 and 2031

InFinance (Re-Tap) Bond Emisson

Re-Tap of €250mn on EMTN Series 13 (XS2954181843, 3.125% Dec/2028), priced at YTM 3.236% plus 3bps new issue premium, implying an all-in yield of 3.266%. Qualified reopening verified: minimum tap price of 99.016 versus secondary mid of 99.716, providing a 70bps buffer. Settlement 05/12/2026

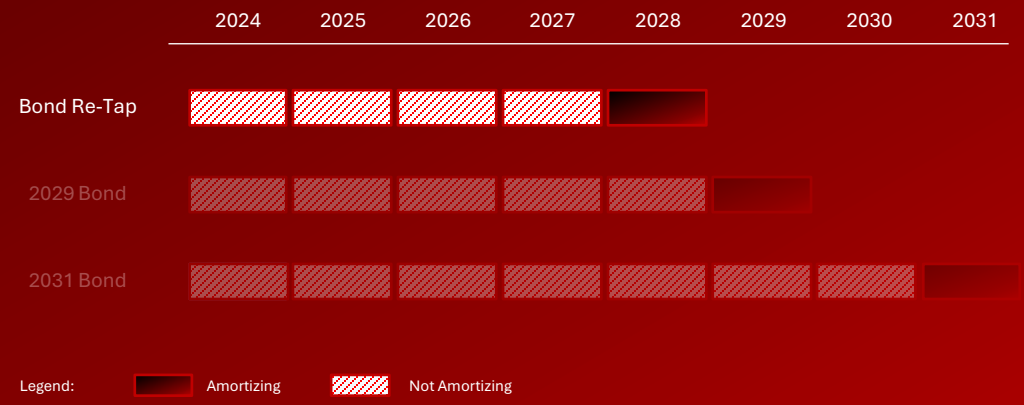
3.250% Average Cost of Debt

250mn (EUR) Re-Tap Emission

3.236% YTM

3 bps NIP

Debt Amortization Schedule



Notes: (1) Euro Medium Term Note
Source: Own Elaboration

InFinance Project *Talos*

€1.5bn three-tranche EMTN[1] issuance fully funds the acquisition at 3.40% blended cost, with no cash

InFinance Debt Emisson

InFinance Bond — Re-Tap

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P. Fiuza R. Antão V. Castro

InFinance Bond Emission

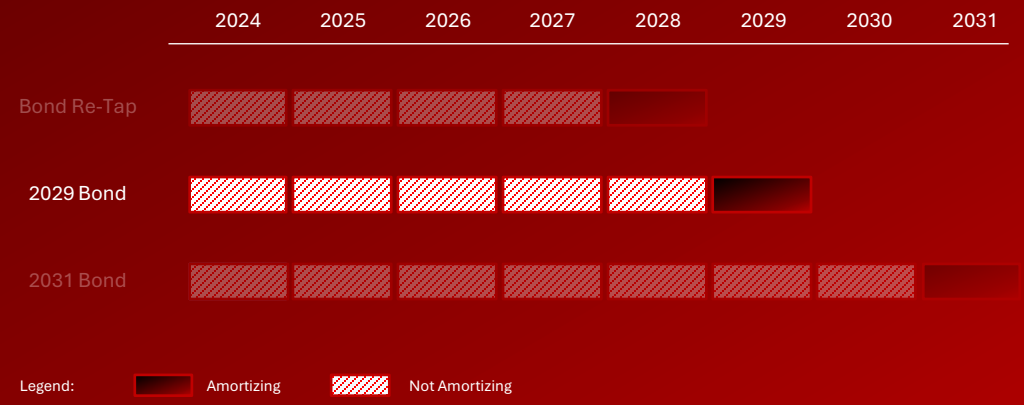
Three tranches laddering maturities across 2028, 2029 and 2031

2029 Bond Emisson

New €500mn issuance under ArcelorMittal's EMTN Programme (€10bn). Fixed coupon of 3.25%. Pricing: EUSA3 of 2.63% + 65bps Z-spread (interpolated from AM curve: MTNA 3.25% Sep/30 @ 68.7bps and MTNA 3.50% Dec/31 @ 75.5bps, Bloomberg BGN 05/08/2026) + 3bps NIP = 3.31%. Coupon rounded to nearest 0.125% = 3.25%. Settlement 05/12/2026

3.250%	500mn (EUR)	2.630%	67 bps
Average Cost of Debt	Total Emission	EUSA3	Z-spread + NIP

Debt Amortization Schedule



Notes: (1) Euro Medium Term Note
Source: Own Elaboration

InFinance Project *Talos*

€1.5bn three-tranche EMTN[1] issuance fully funds the acquisition at 3.40% blended cost, with no cash

InFinance Debt Emisson

InFinance Bond — Re-Tap

Amount	€250mn
Currency	Euro
Cost of Debt	3,250%
Maturity:	3 years

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InFinance Bond

Amount	€500mn
Currency	Euro
Cost of Debt	3,250%
Maturity	4 years

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InFinance Bond

Amount	€750mn
Currency	Euro
Cost of Debt	3,625%
Maturity	6 years

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InFinance Bond Emission

Three tranches laddering maturities across 2028, 2029 and 2031

2031 Bond Emisson

New €750mn benchmark issuance under ArcelorMittal's EMTN Programme (€10bn). Fixed coupon of 3.625%. Pricing: EUSA6 of 2.862% (Bloomberg 05/08/2026) + 77bps Z-spread (ref. MTNA 3.50% Dec/31, ISIN XS2954183039, Bloomberg BGN 05/08/2026) + 3bps NIP = 3.662%. Coupon of 3.625% set 1bp below yield, implying issue price of ~99.94. Settlement 05/12/2026

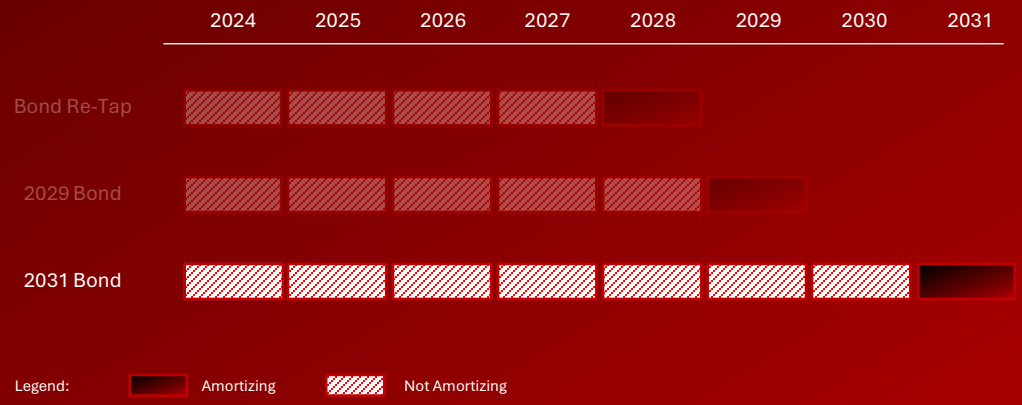
3.625% Average Cost of Debt

750mn (EUR) Total Emission

2.862% EUSA3

80 bps Z-spread +NIP

Debt Amortization Schedule



Notes: (1) Euro Medium Term Note
Source: Own Elaboration

Debt Is The Whole Point

1,500mn three-tranche issuance generates US$445mn in incremental FCFE NPV, validating the acquisition financing structure

Incremental FCFE Analysis [US$ mn]

Post-debt incremental FCFE NPV of US$445mn reflects net equity value created after full debt service

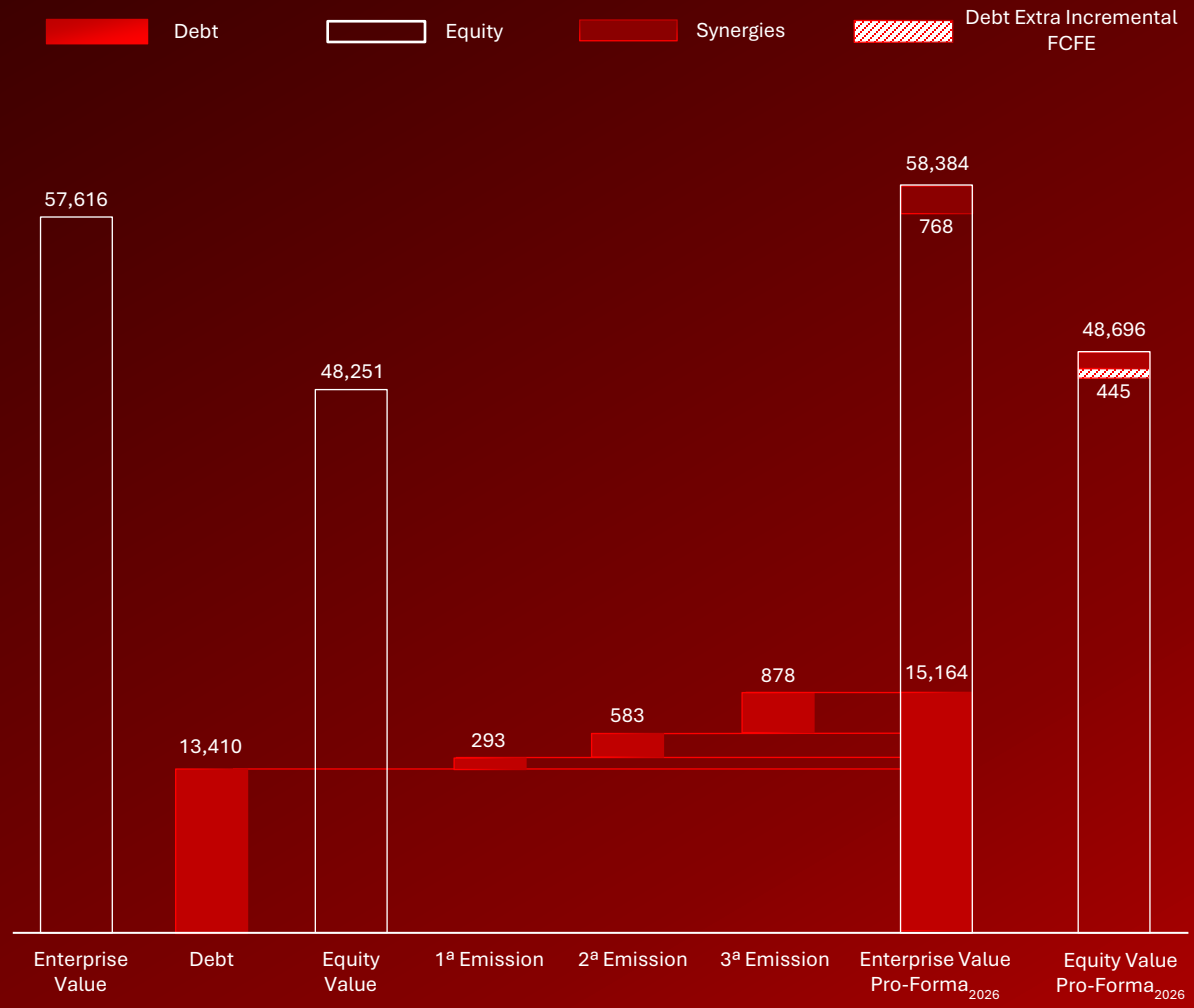
		2026E	2027E	2028E	2029E	2030E	2031E	TV
FCFE Pre-Deal	[US$ mn]	968	461	564	3,122	2,487	3,313	68,721
NPV	[US$ mn]	48,251						
Incremental FCFE Pre-Debt	[US$ mn]	(1,591)	102	108	110	115	138	2,328
NPV	[US$ mn]	325						
Incremental FCFE Post-Debt	[US$ mn]	112	49	(181)	(371)	51	(473)	1,259
NPV	[US$ mn]	445						

Equity Value Pre-deal	48,251
Equity Value Post-deal	48,696
Incremental	445

FCFE Pre-Deal	Incremental FCFE
48,251 mn	**445 mn**

Transaction Value Creation Bridge [US$ mn]

Synergies and incremental debt expand pro forma equity value through additional FCFE generation



Notes:
Source: Own Elaboration

Debt Value Creation

Low-cost financing combined with accretive acquisitions drives meaningful value creation

Project *Talos*

Transaction Summary

1st Step: Debt issuance in Luxembourg, raising a total amount of EUR 1,500mn at an average rate of 3.4%

2nd Step: Acquisition of USD 1,716mn in CSN assets, including MRS, two European assets and one Brazilian asset

Final Step: USD 382mn of unlevered synergies, increasing to USD 466mn when supported by debt financing across three tranches maturing between 2028 and 2031

Key Stats:

Assets Purchase [US$ mn]	**1,716**
Pro Forma Net Debt / EBITDA [x]	**1.2x**
Synergies NPV [US$ mn]	**382**
Synergies with Debt [US$ mn]	**445**



Notes:
Source: Own Elaboration

Questions & Answers

Credit | InFinance 2026.1

Project Talos
Strategic Divestment of CSN's Assets: Opportunity for ArcelorMittal

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